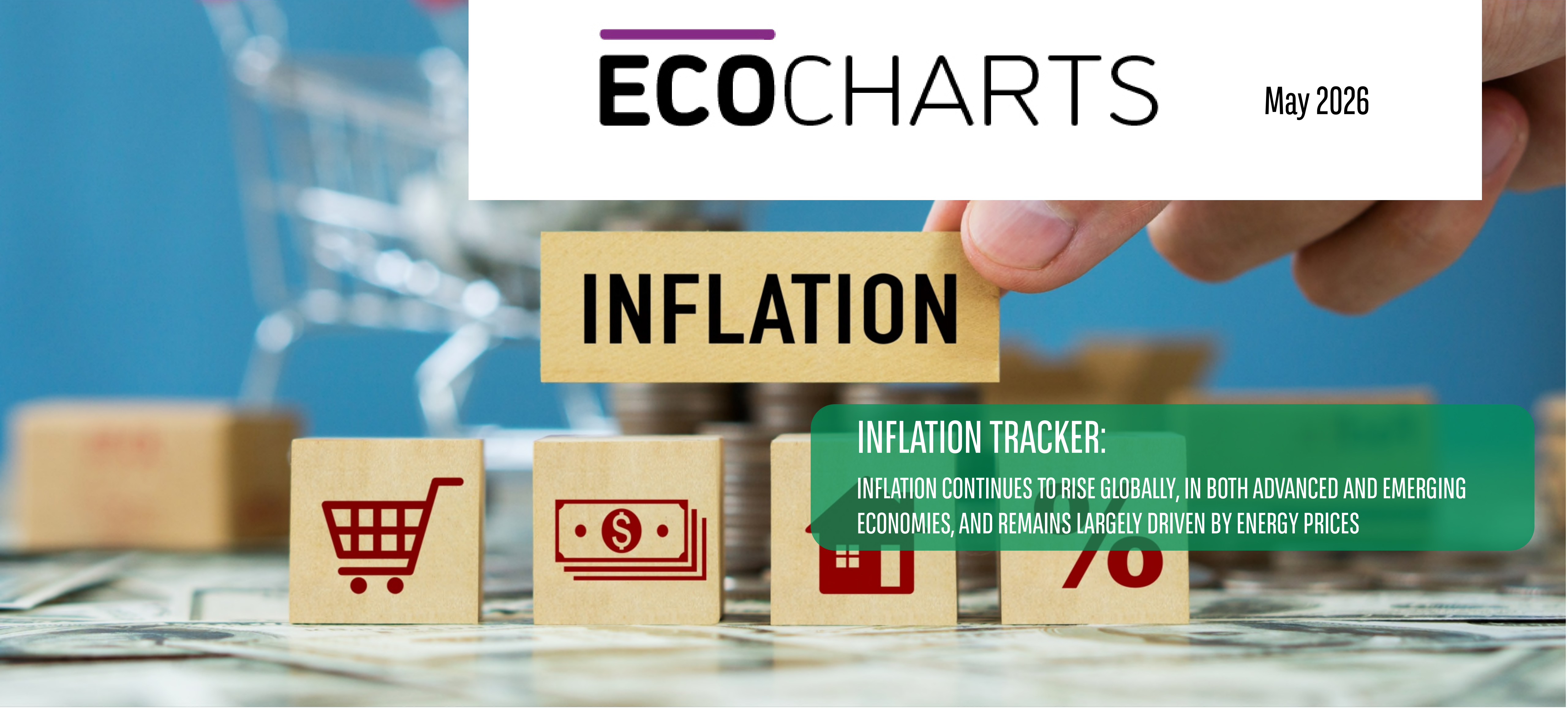
ECOCHARTS

May 2026



INFLATION TRACKER:

INFLATION CONTINUES TO RISE GLOBALLY, IN BOTH ADVANCED AND EMERGING ECONOMIES, AND REMAINS LARGELY DRIVEN BY ENERGY PRICES

BNP PARIBAS

The bank for a changing world

Advanced economies

General dynamics of inflation:

Inflation continues to rise in the United States and the euro area, driven by energy prices, whilst temporary factors are causing it to fall slightly in the United Kingdom and Japan.

Inflation and survey data:

Indicators of price pressures continue to rise, with the increase being more pronounced on the input price side than on the output price side.

Inflation expectations (households, forecasters, markets):

Short-term inflation expectations continue to rise, whilst longer-term expectations remain stable.

Inflation-wage dynamics:

There are still no signs of a wage-price spiral taking hold.

Emerging economies:

The inflationary impact of the energy shock is spreading rapidly, though still moderately, across emerging economies.

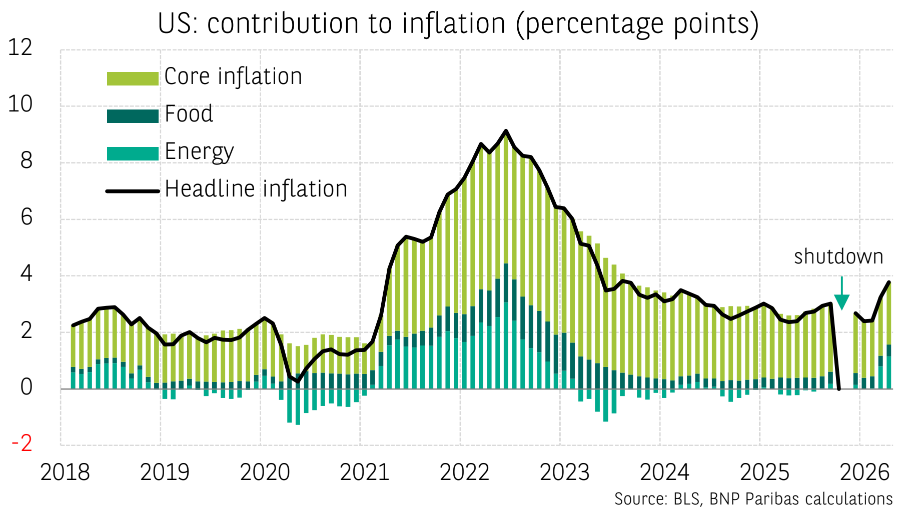
Commodities:

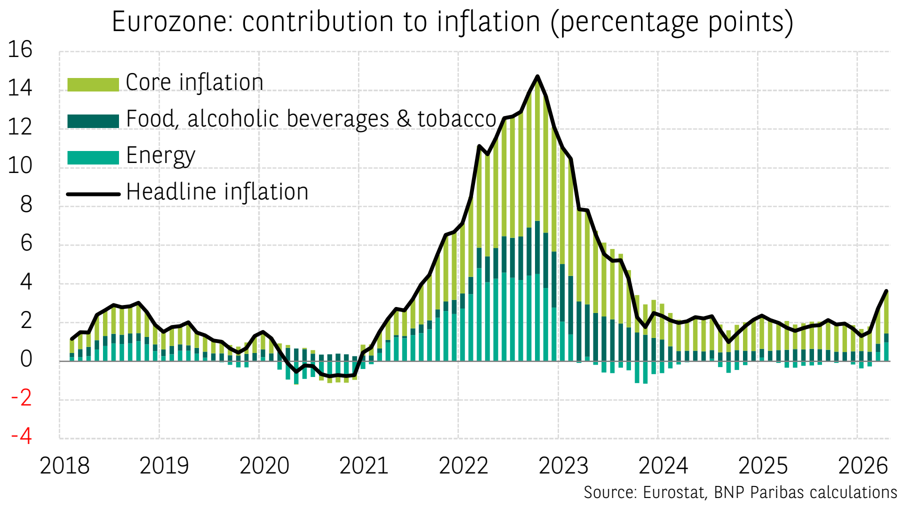
Commodity prices remain high, but are stabilising.

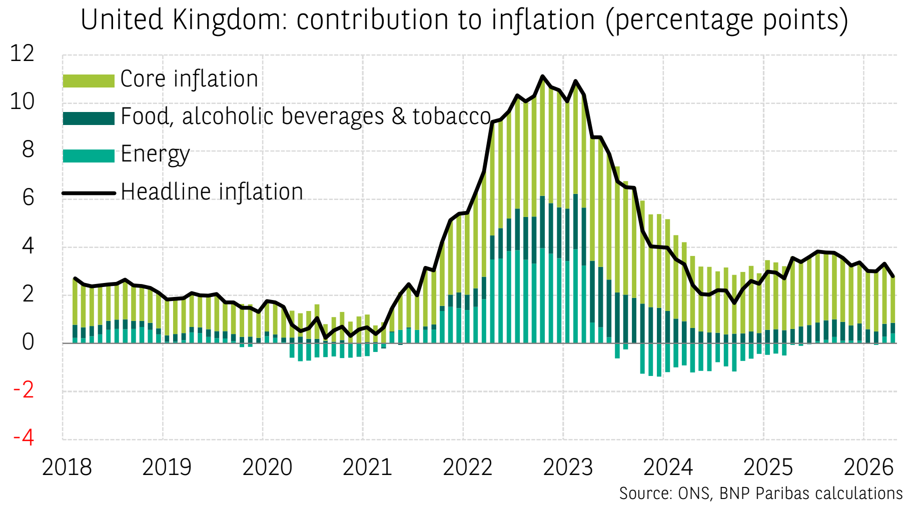
General dynamics of inflation:

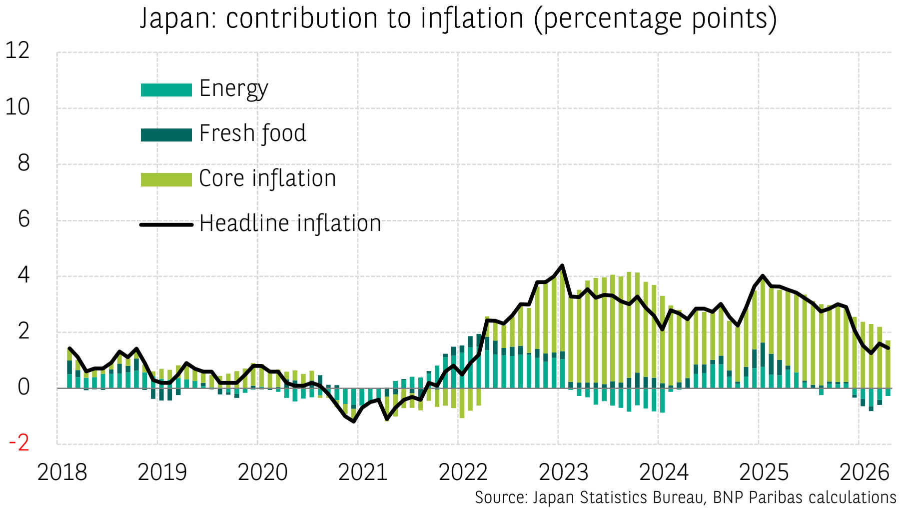
Inflation continues to rise in the United States and the euro area, driven by energy prices, whilst temporary factors are causing it to fall slightly in the United Kingdom and Japan.

General dynamics of inflation: decomposition of inflation



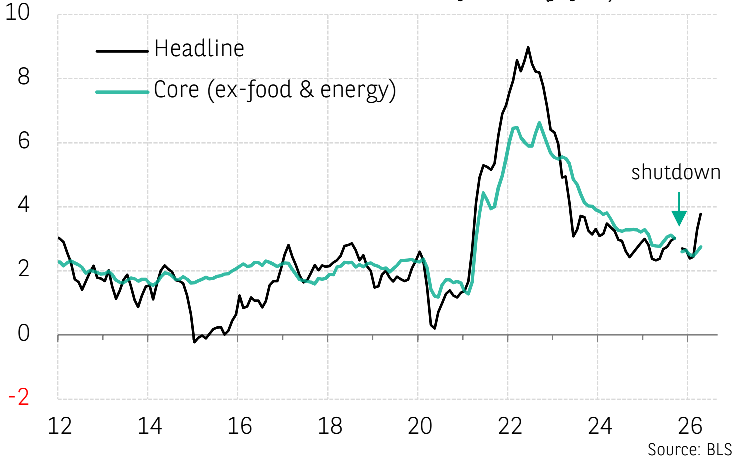




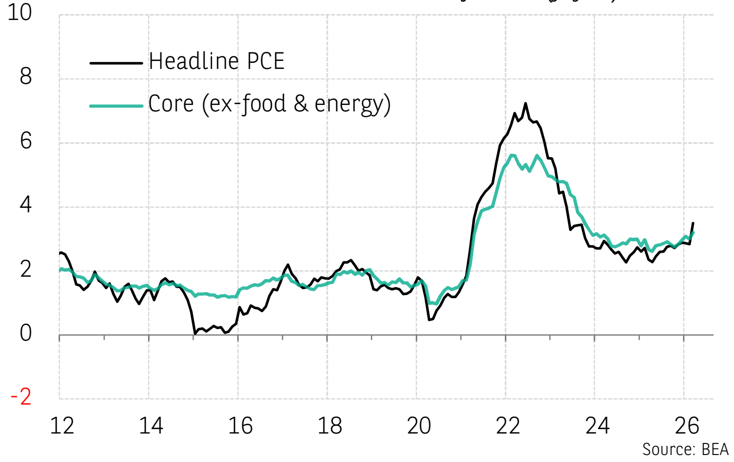


Inflation dynamics in the United States: different metrics and degree of generalisation

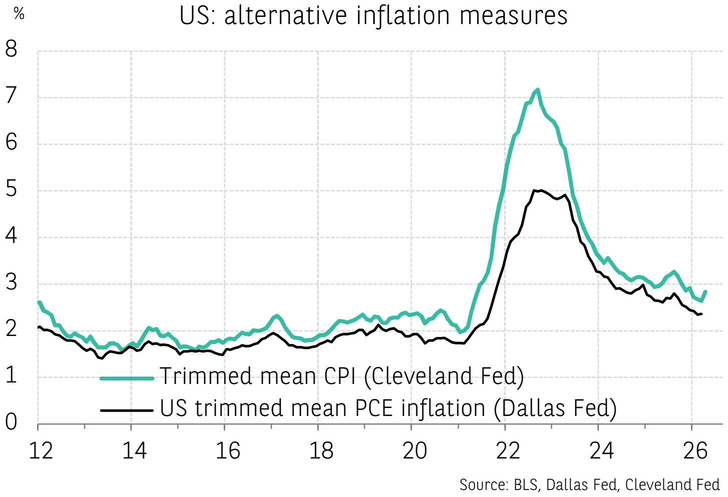
US: headline and core CPI inflation (y/y %)



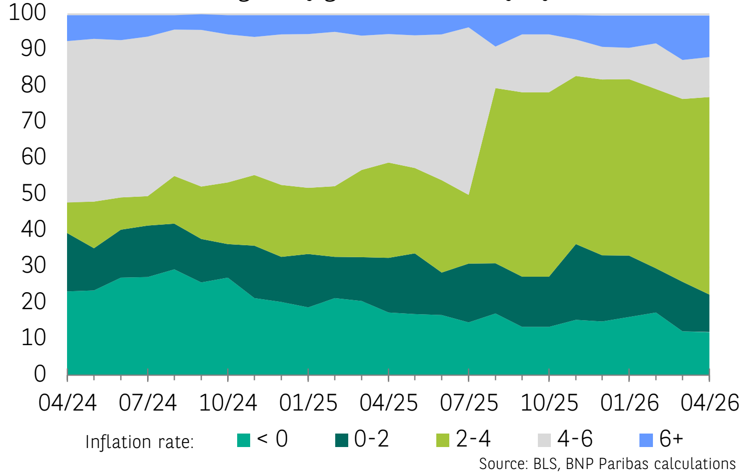
US: headline and core PCE inflation (y/y %)



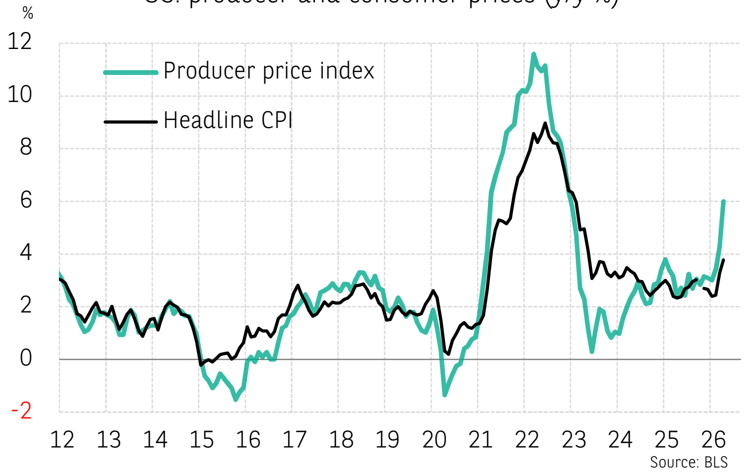
US: alternative inflation measures



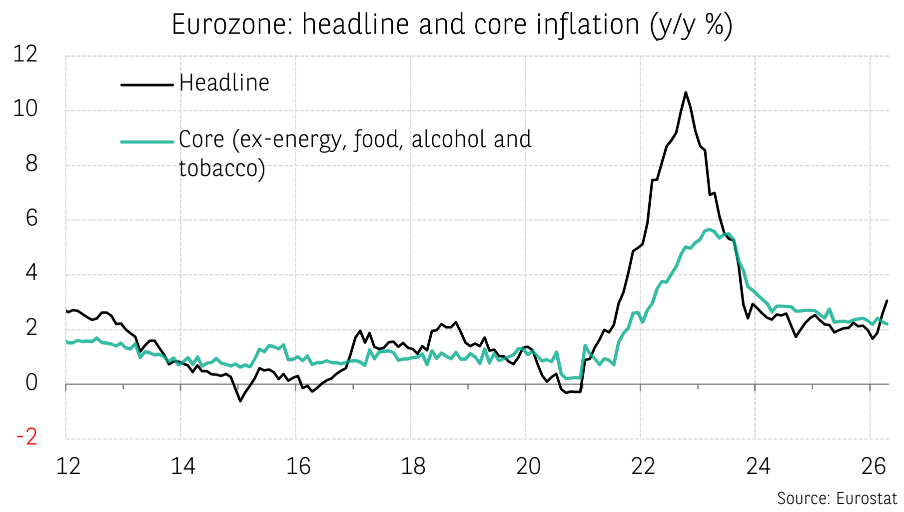
US: degree of generalisation of inflation

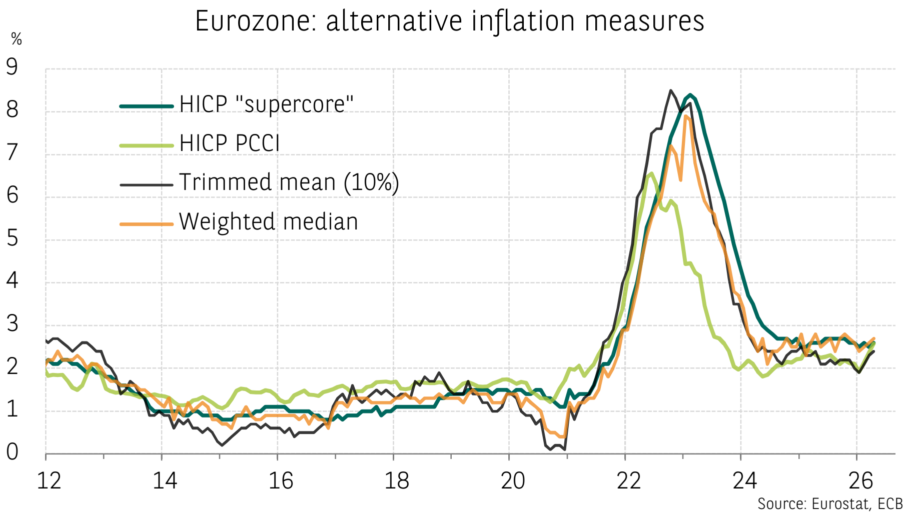


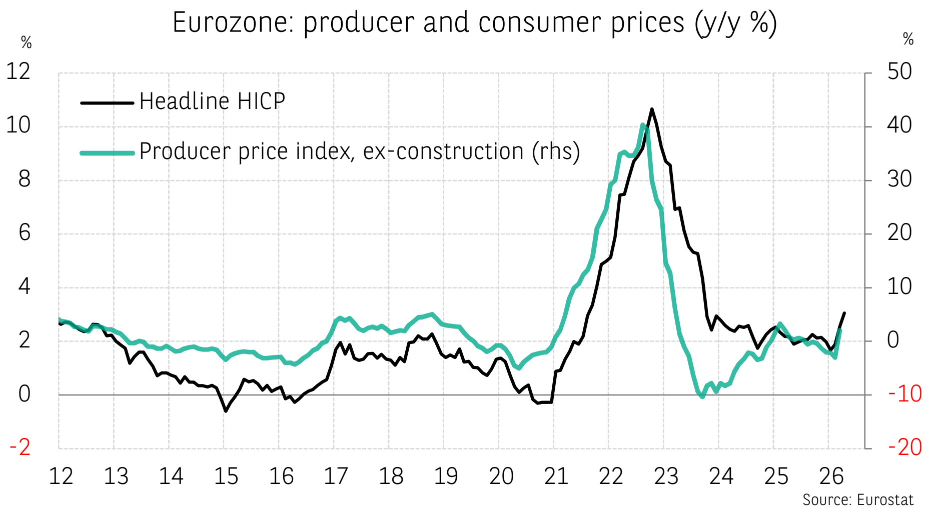
US: producer and consumer prices (y/y %)

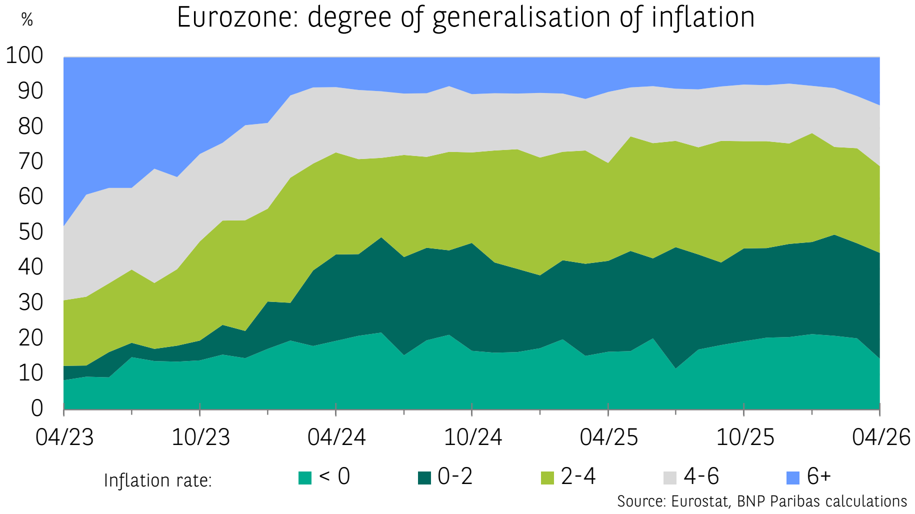


Inflation dynamics in the Eurozone: different metrics and degree of generalisation

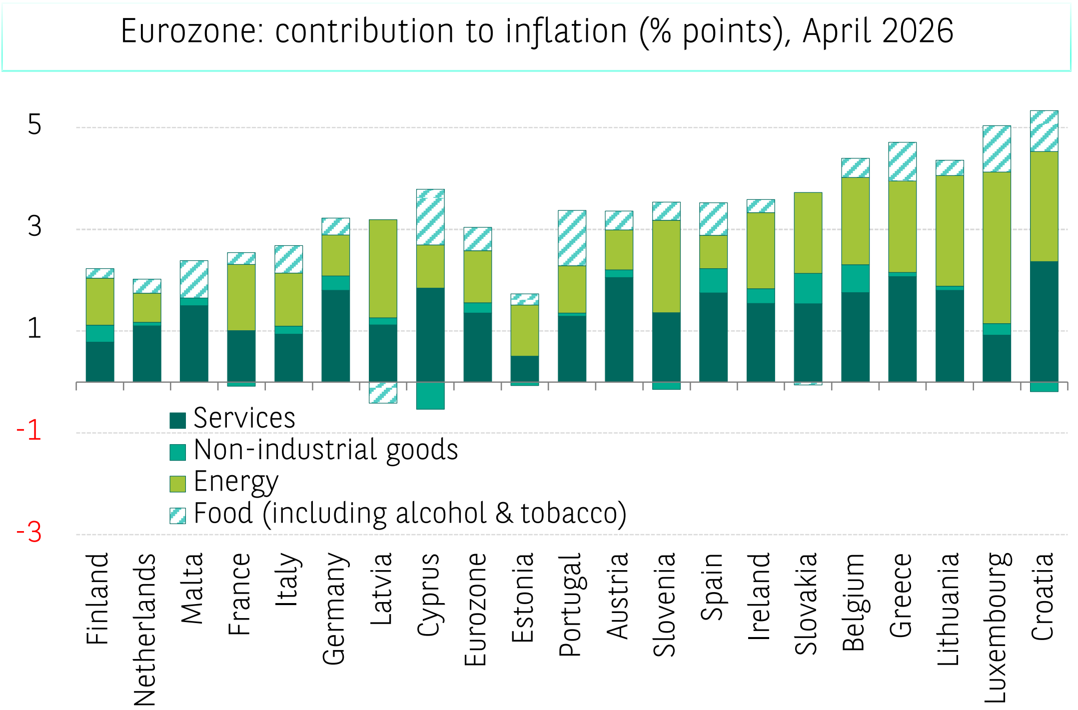




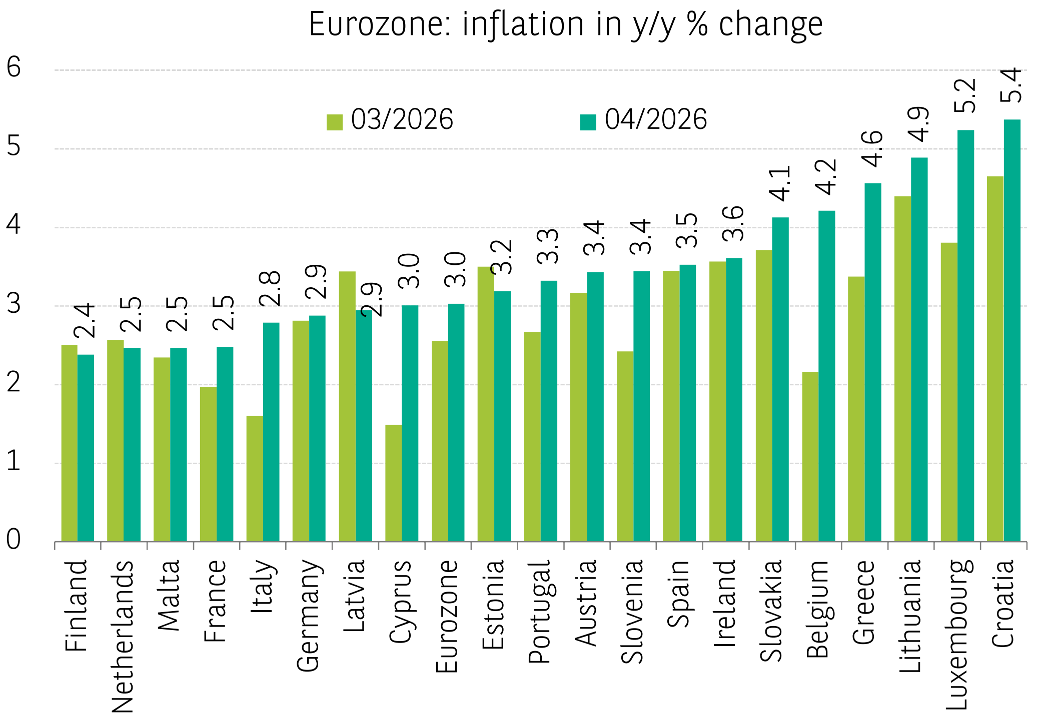




Inflation dynamics in the Eurozone by country (1)

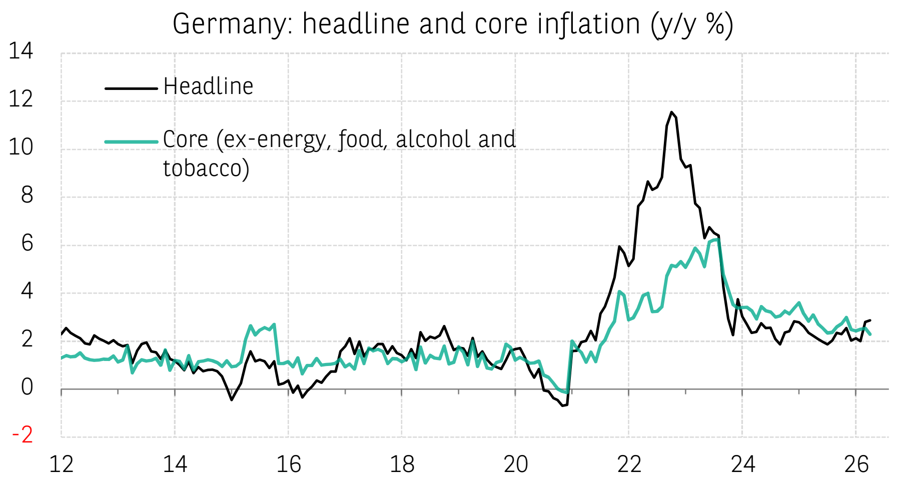


Source: Eurostat

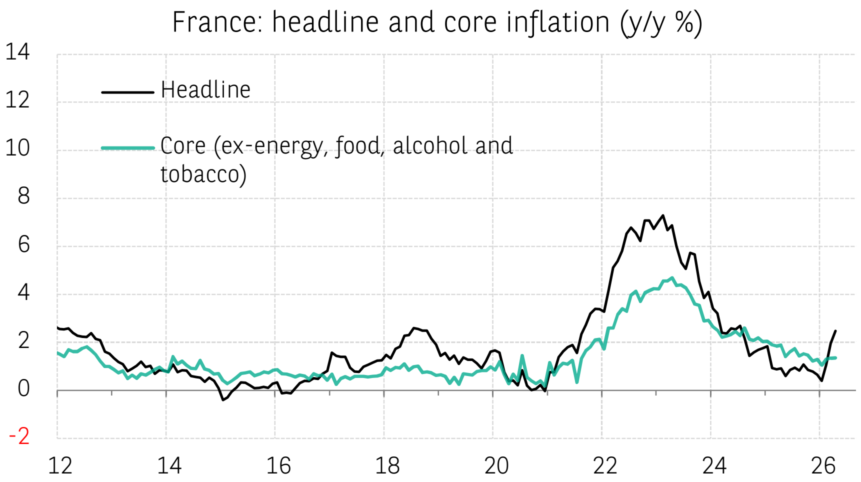


Source: Eurostat

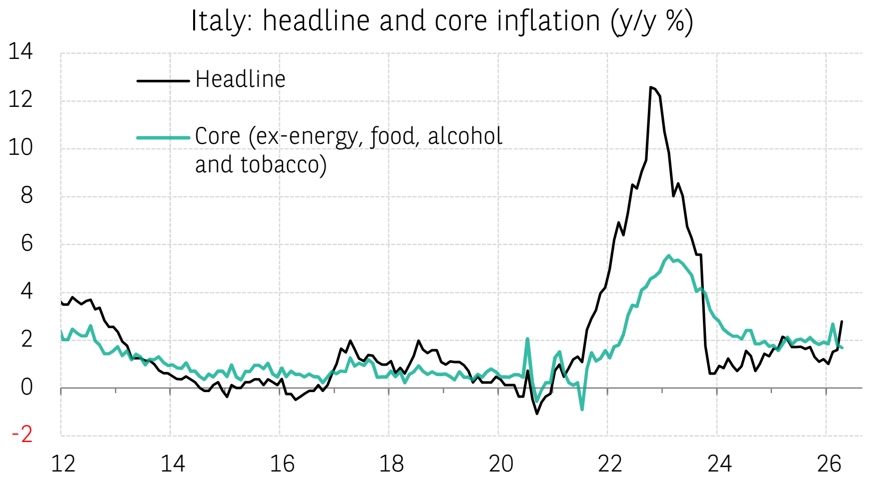
Inflation dynamics in the Eurozone by country (2)



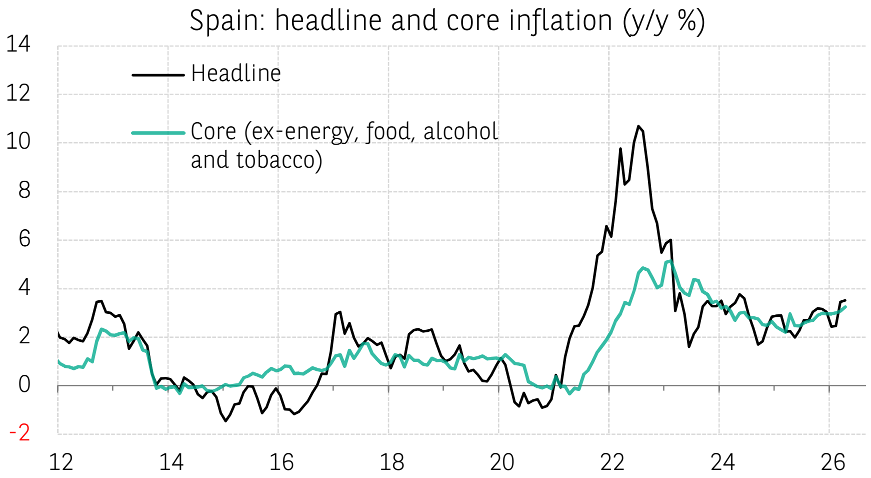
Source: Eurostat



Source: Eurostat



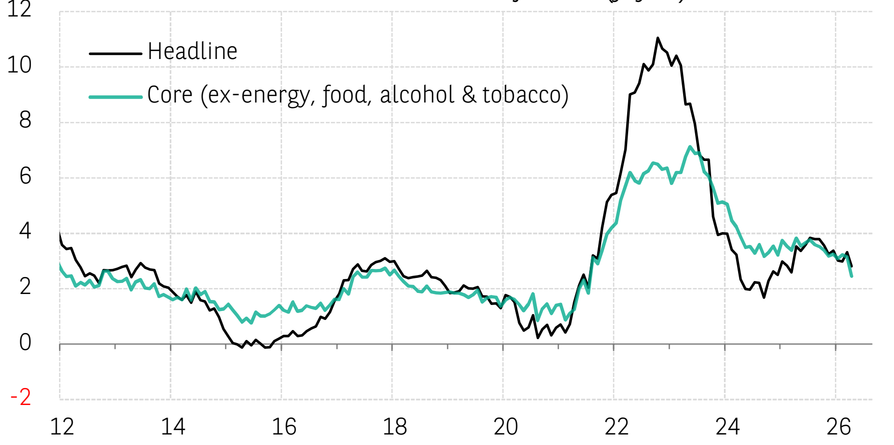
Source: Eurostat



Source: Eurostat

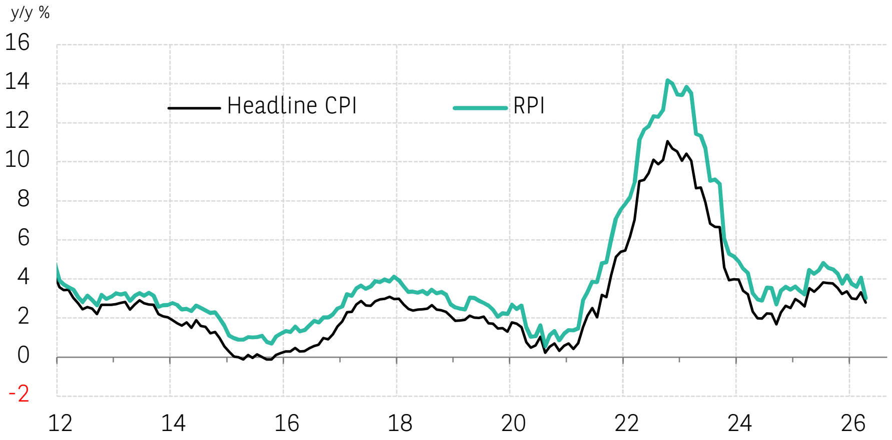
Inflation dynamics in the United Kingdom: different metrics and degree of generalisation

UK: headline and core inflation (y/y %)



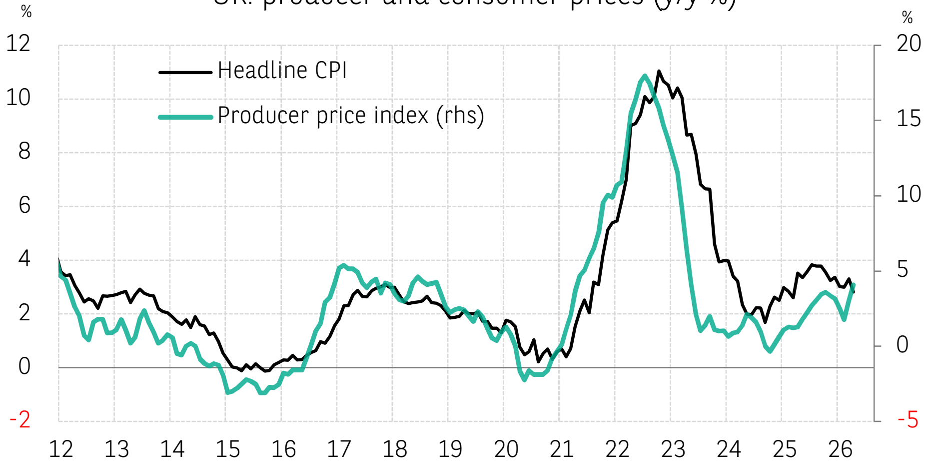
Source: ONS

United Kingdom: consumer price (CPI) and retail price (RPI)



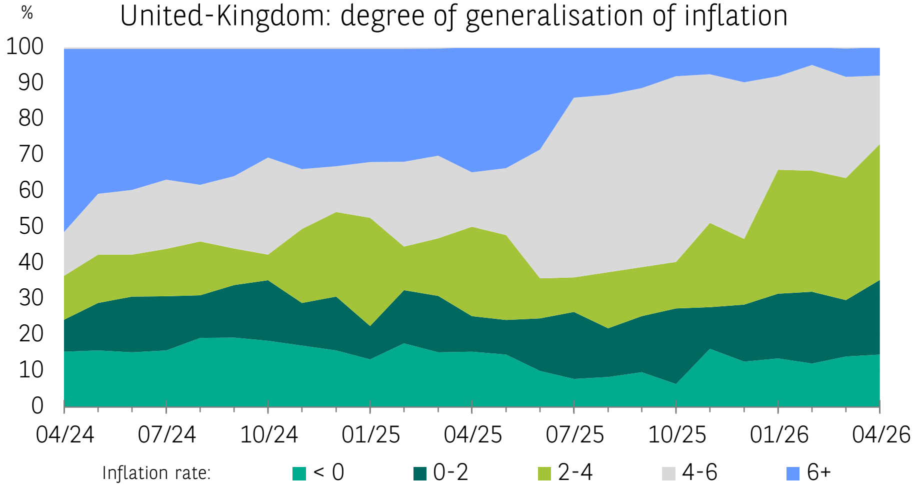
Source: ONS

UK: producer and consumer prices (y/y %)



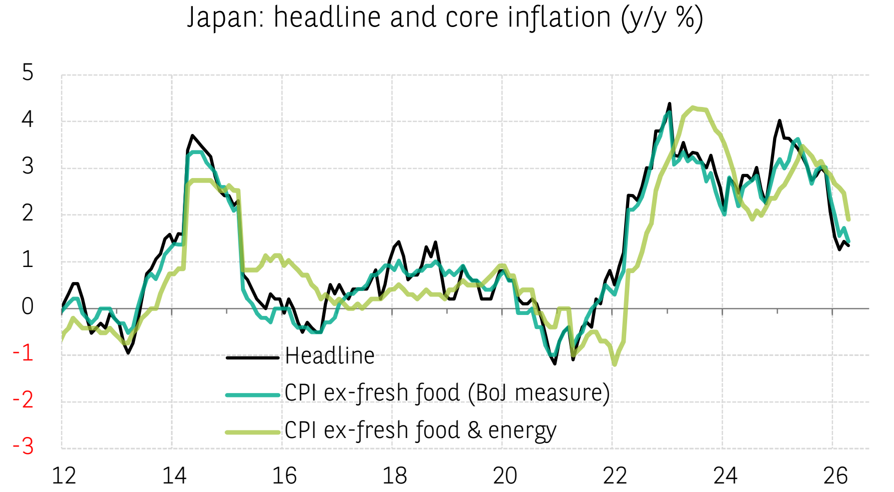
Source: ONS

United-Kingdom: degree of generalisation of inflation

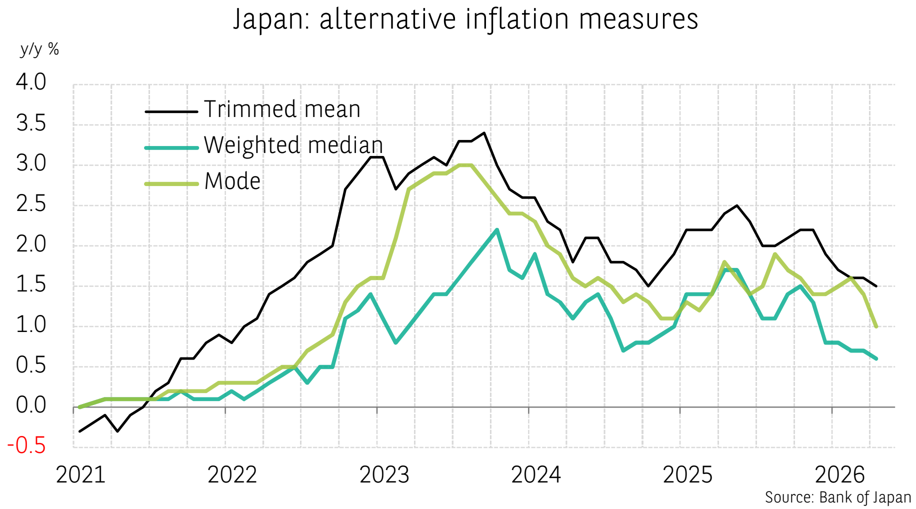


Source: ONS, BNP Paribas calculations

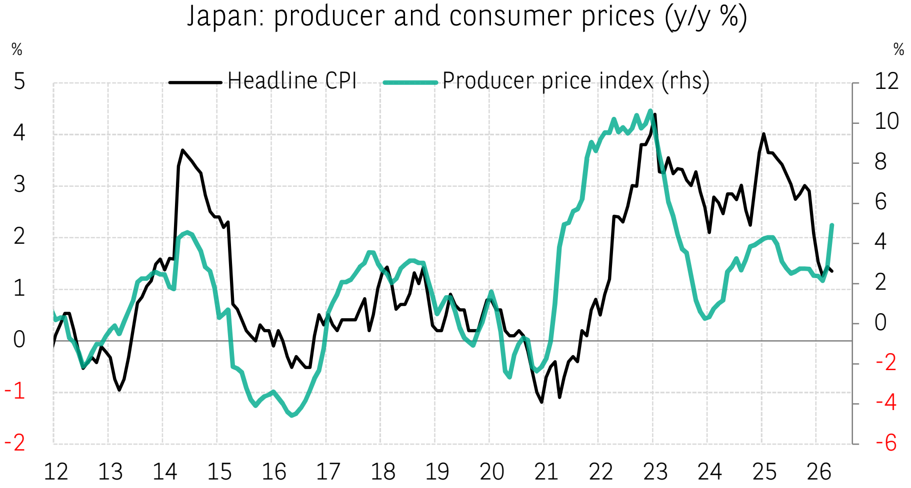
Inflation dynamics in Japan: different metrics and degree of generalisation



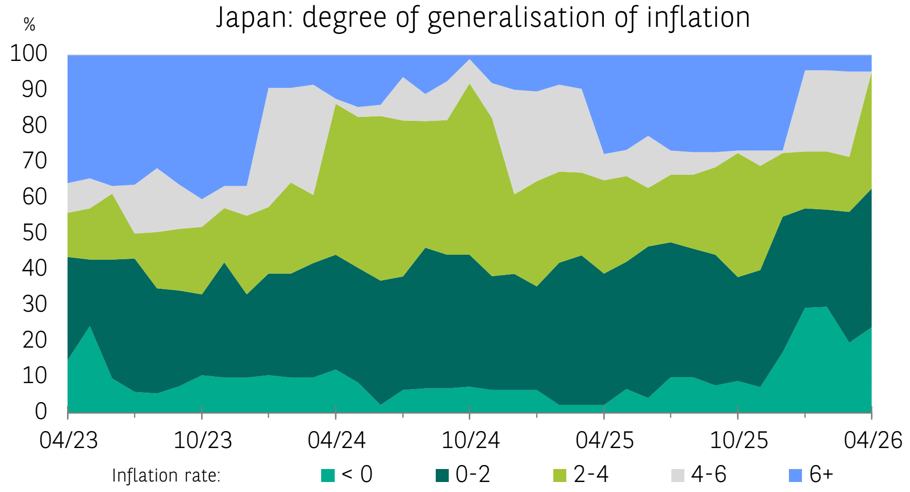
Source: Statistics Bureau of Japan



Source: Bank of Japan



Source: Japan Statistics Bureau, BOJ

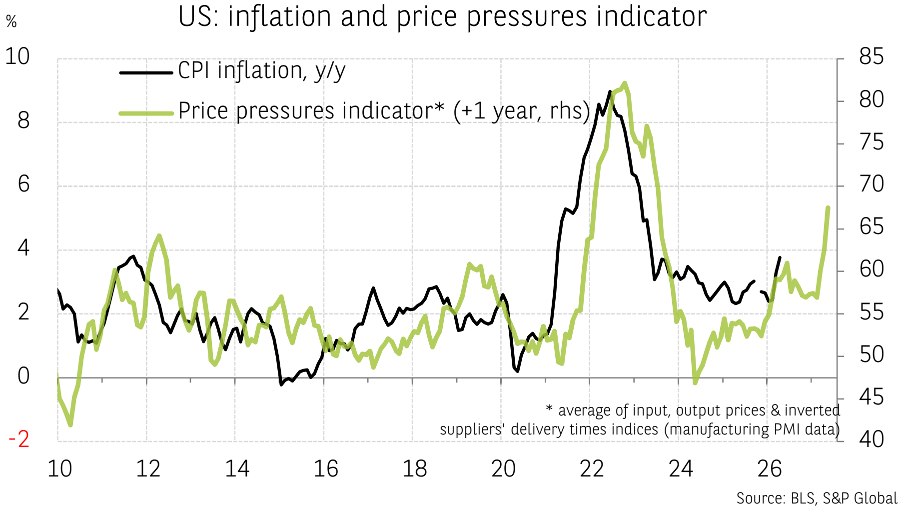


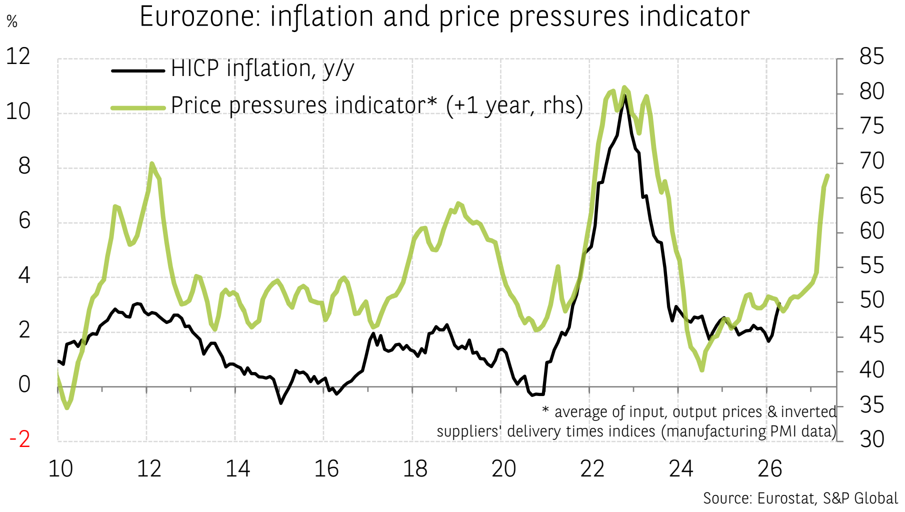
Source: Bureau des Statistiques du Japon, BNP Paribas calculations

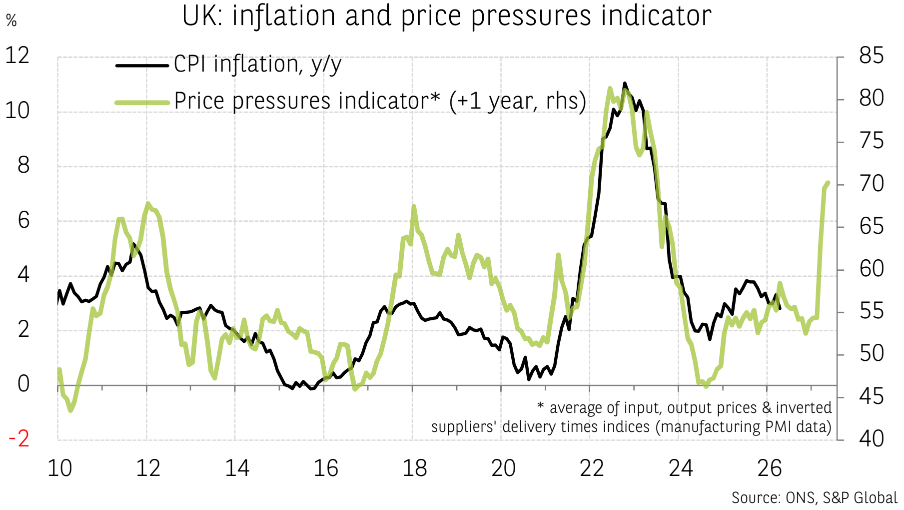
Inflation and survey data:

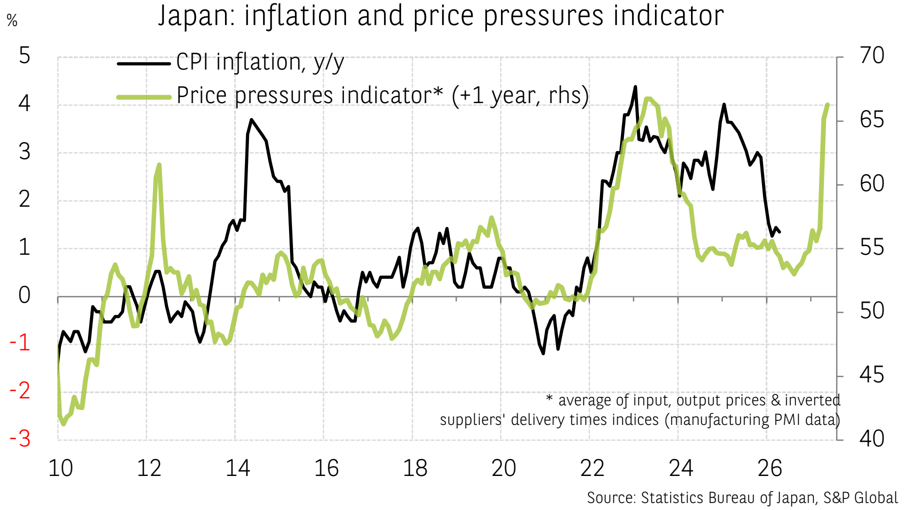
Indicators of price pressures continue to rise, with the increase being more pronounced on the input price side than on the output price side.

PMI surveys: an indication of inflationary pressures







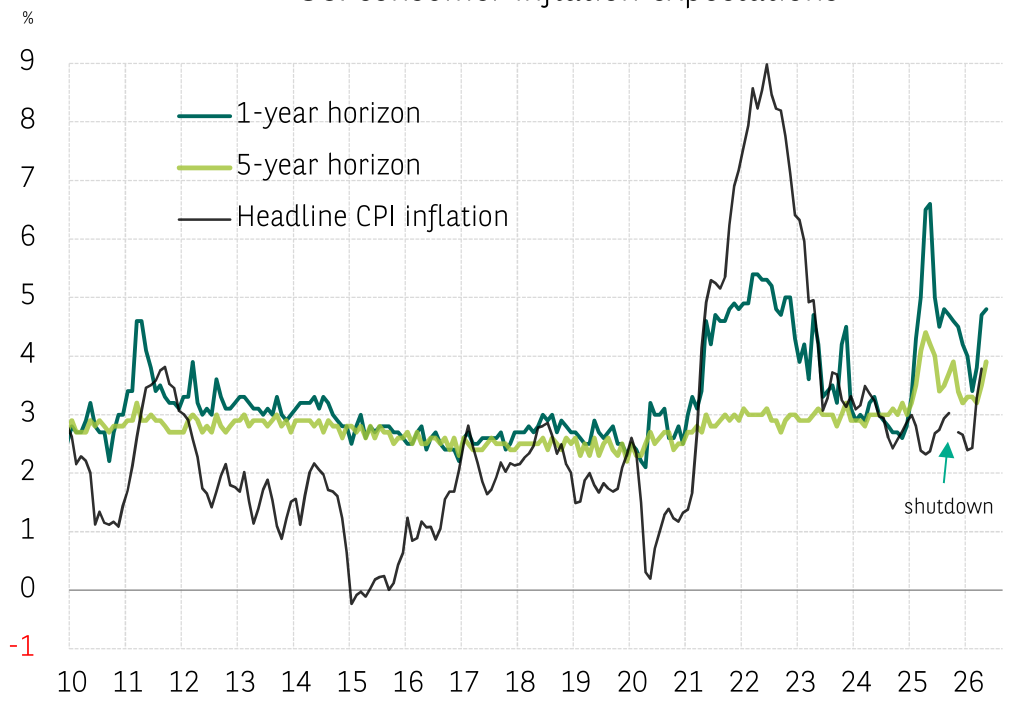


Inflation expectations (households, forecasters, markets):

Short-term inflation expectations continue to rise, whilst longer-term expectations remain stable.

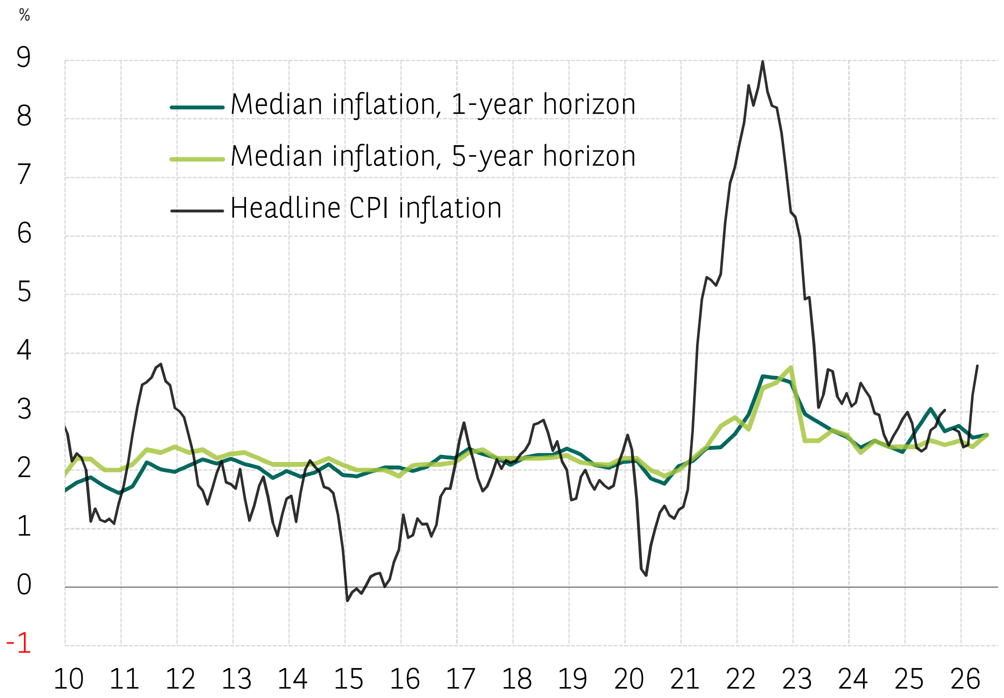
Inflation expectations in the United States

US: consumer inflation expectations



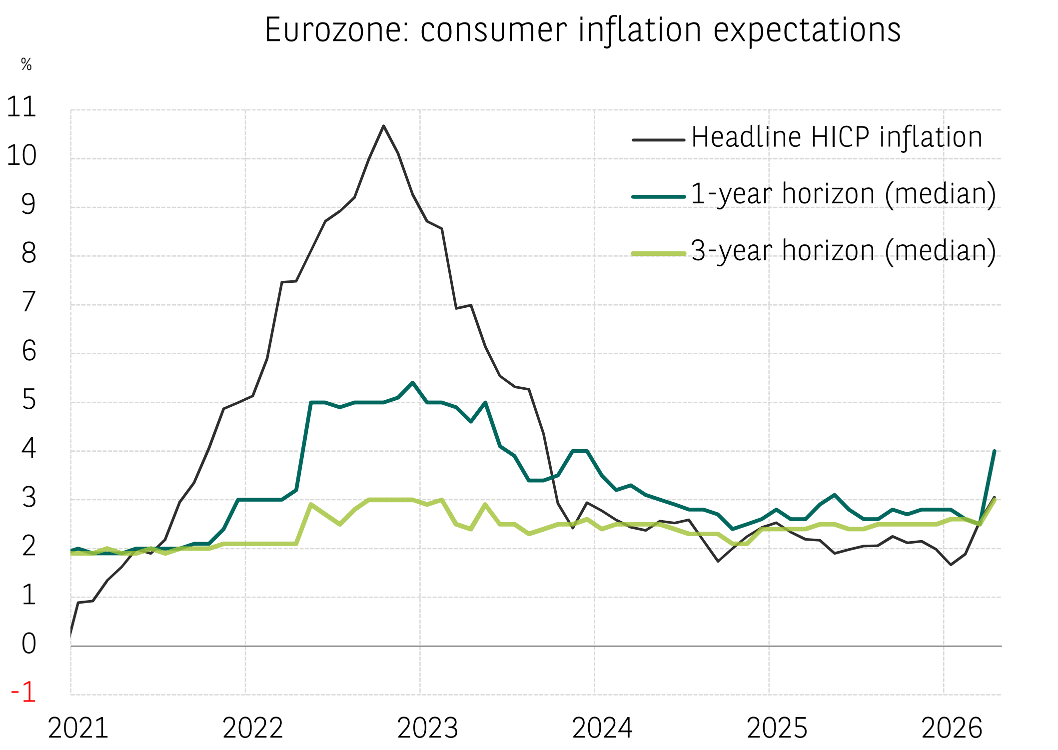
Source: University of Michigan, BLS

US: Survey of professional forecasters

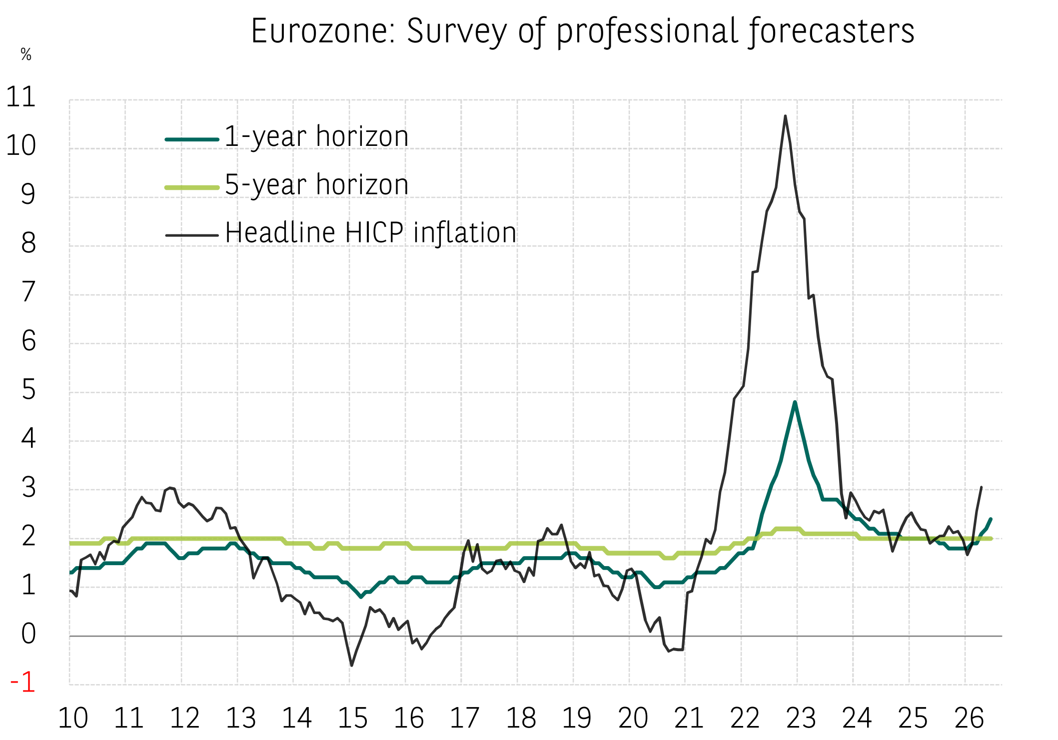


Source: Philadelphia Fed (SPF), BLS

Inflation expectations in the Eurozone

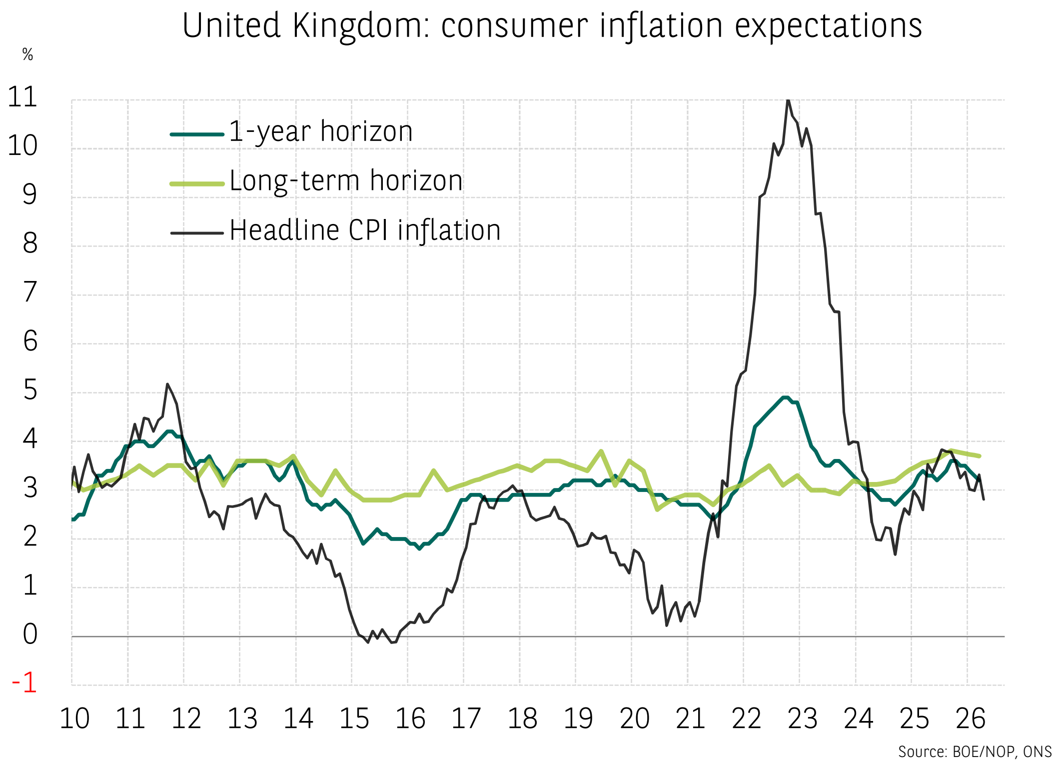


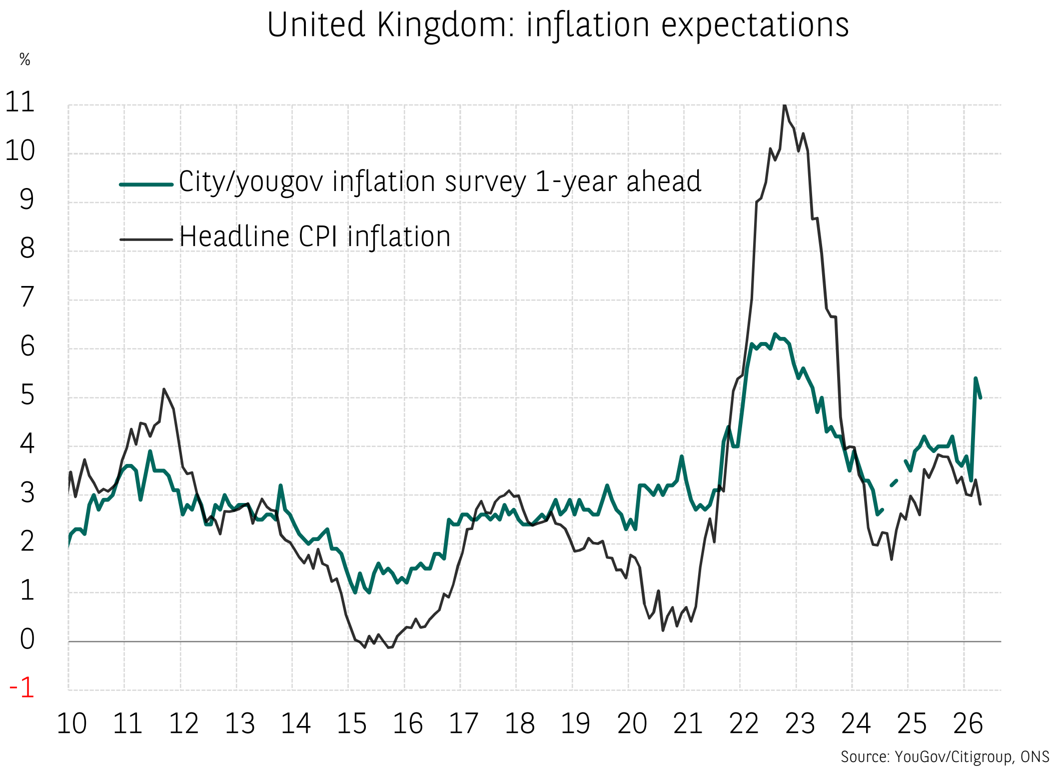
Source: Eurostat, ECB (CES survey)



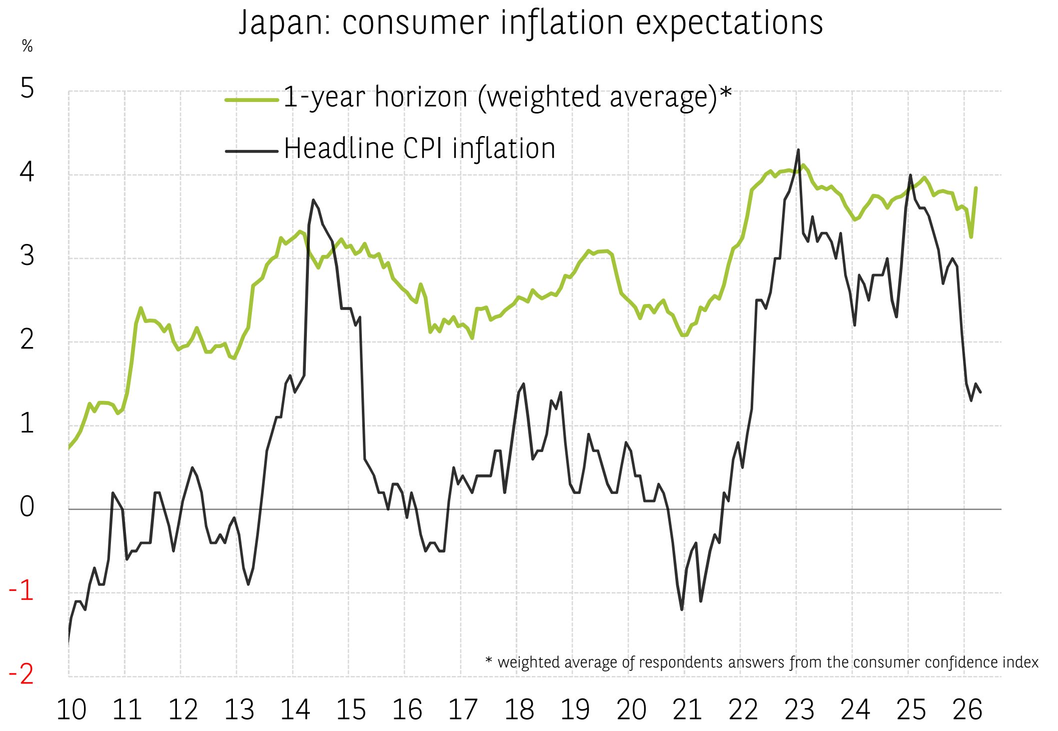
Source: ECB (SPF), Eurostat

Inflation expectations in the United Kingdom

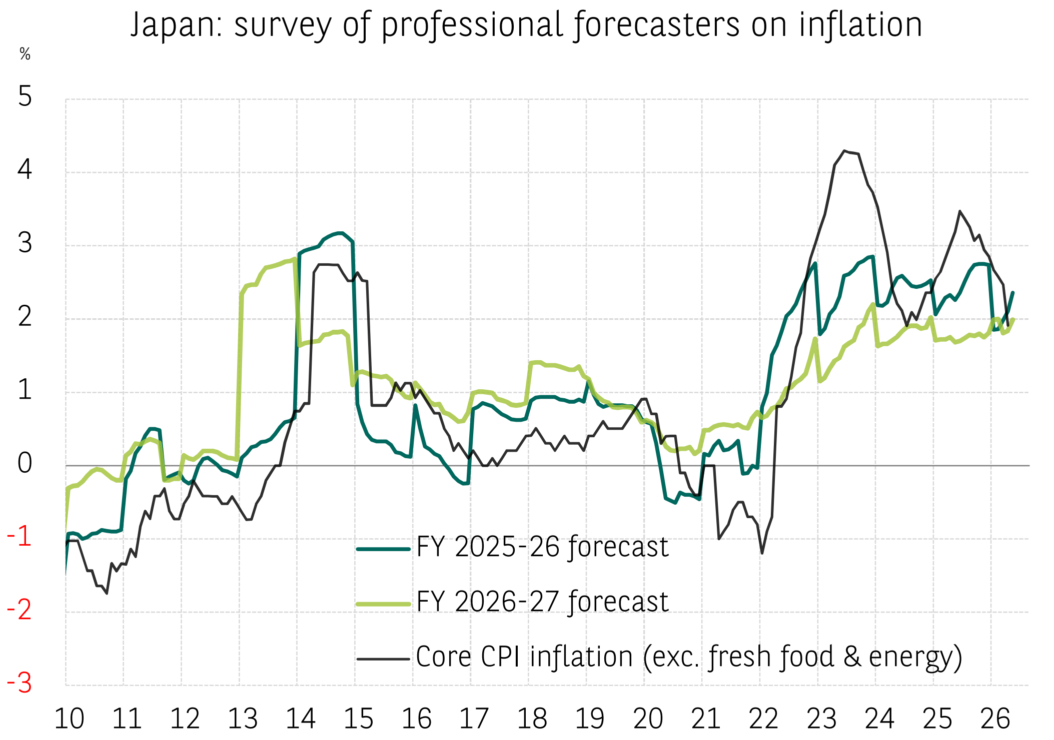




Inflation expectations in Japan

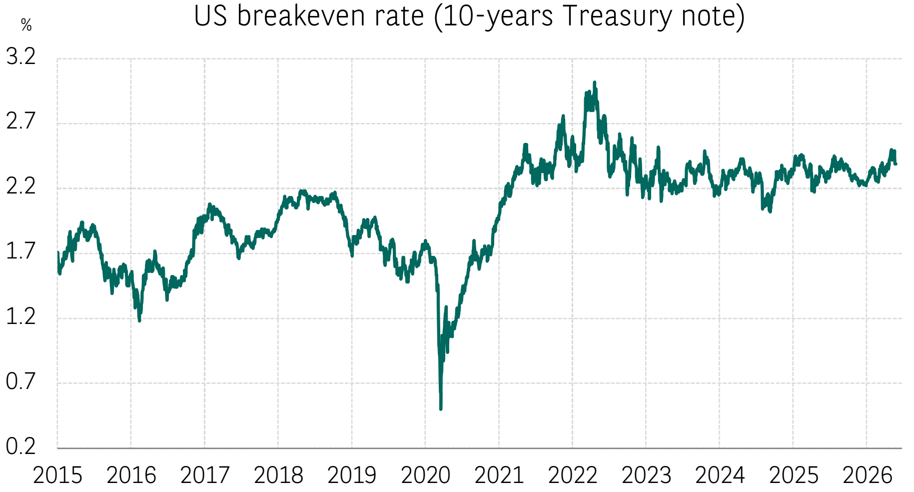


Source: Statistics Bureau of Japan, Cabinet Office

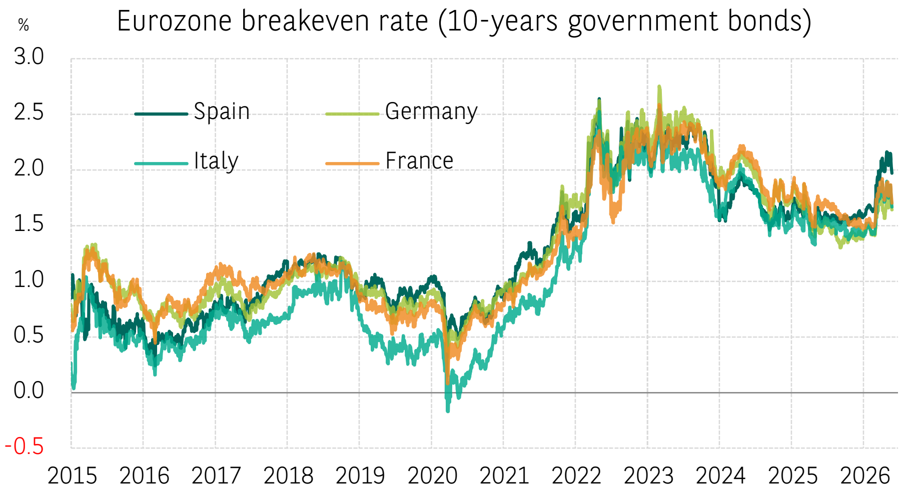


Source: Japan Center of Economic Research, Jaan Bureau of Statistics

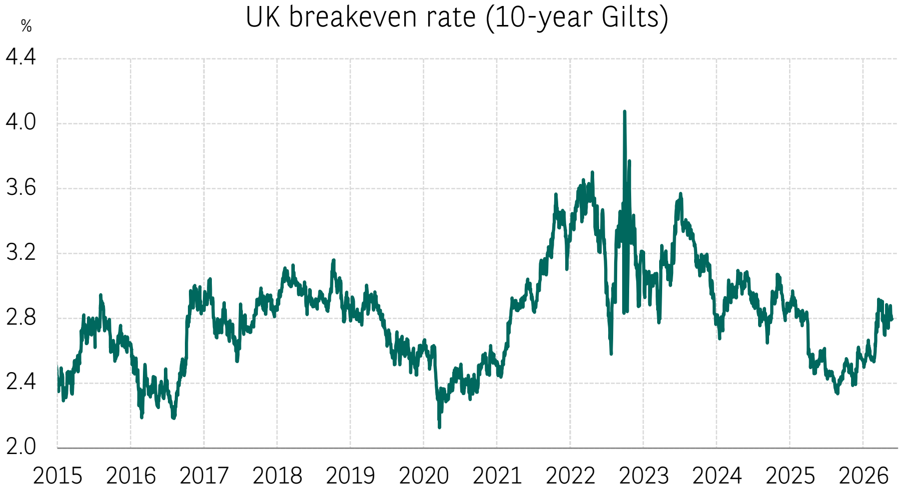
Market expectations: breakeven inflation rate



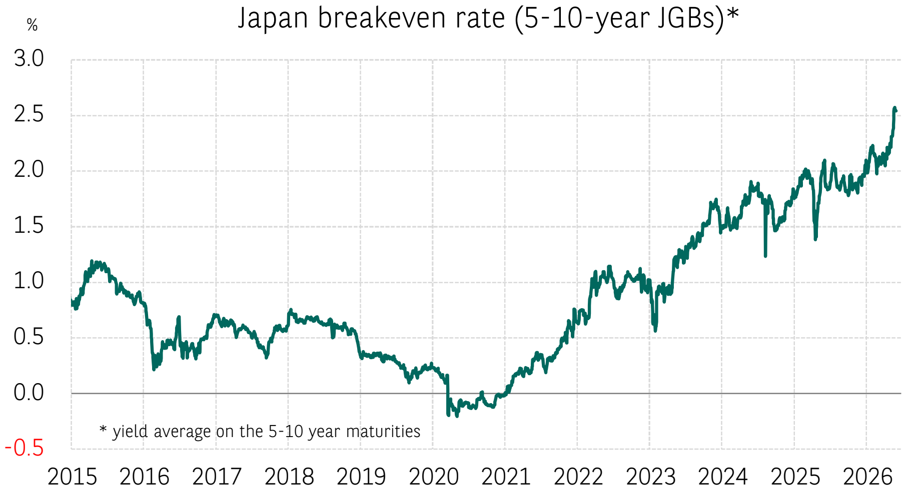
Source: Federal Reserve



Source: Refinitiv, iBoxx

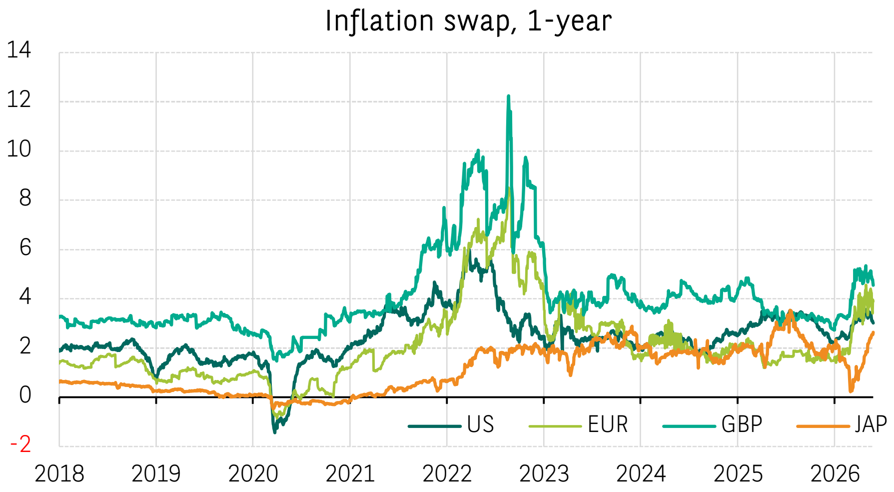


Source: Refinitiv, iBoxx

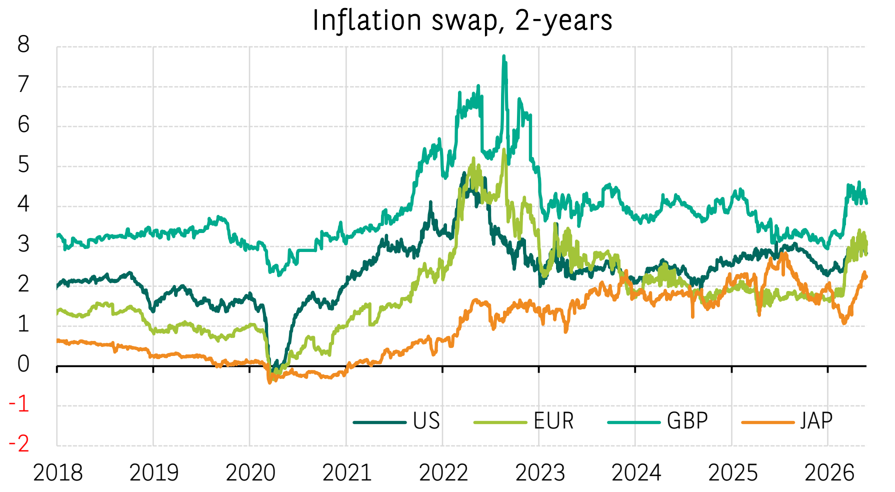


Source: Refinitiv, iBoxx

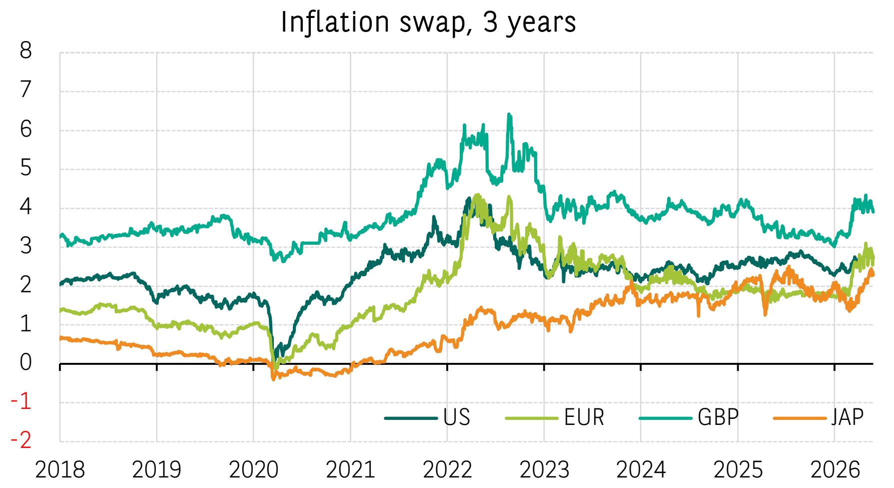
Market expectations: swap rate



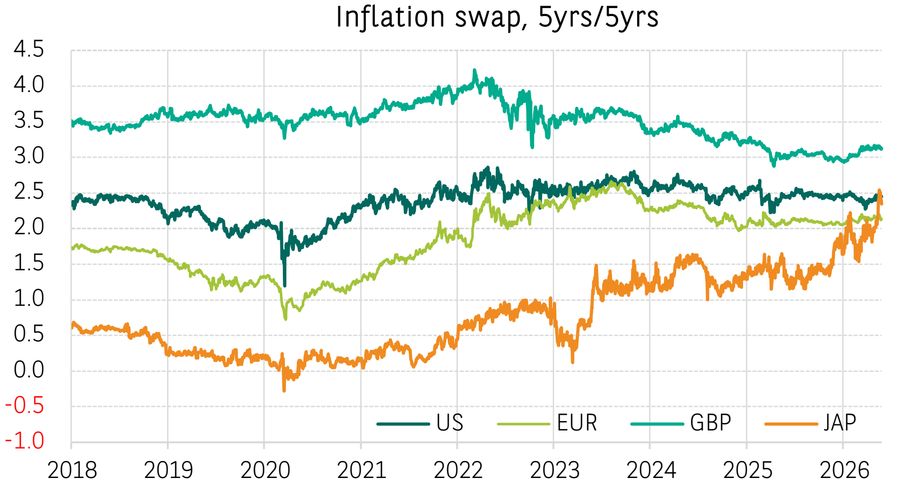
Sources : LSEG, BNP Paribas



Sources : LSEG, BNP Paribas



Sources : LSEG, BNP Paribas

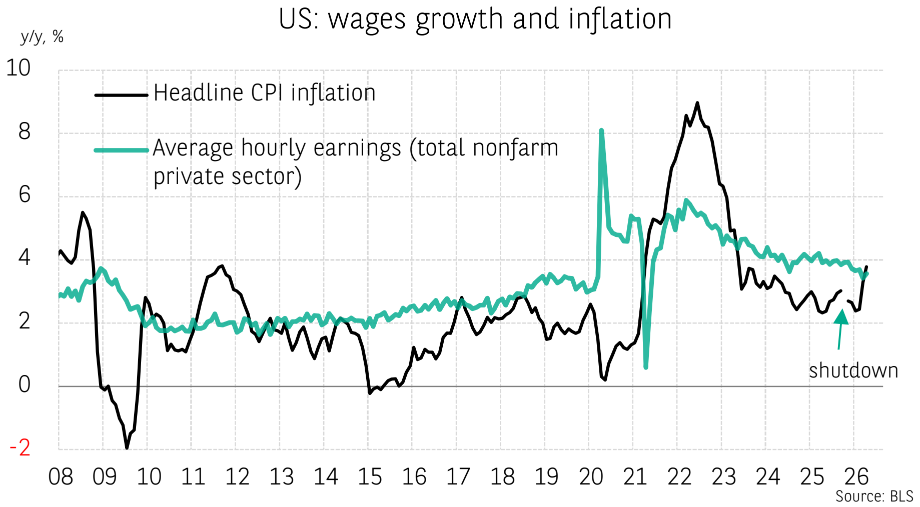


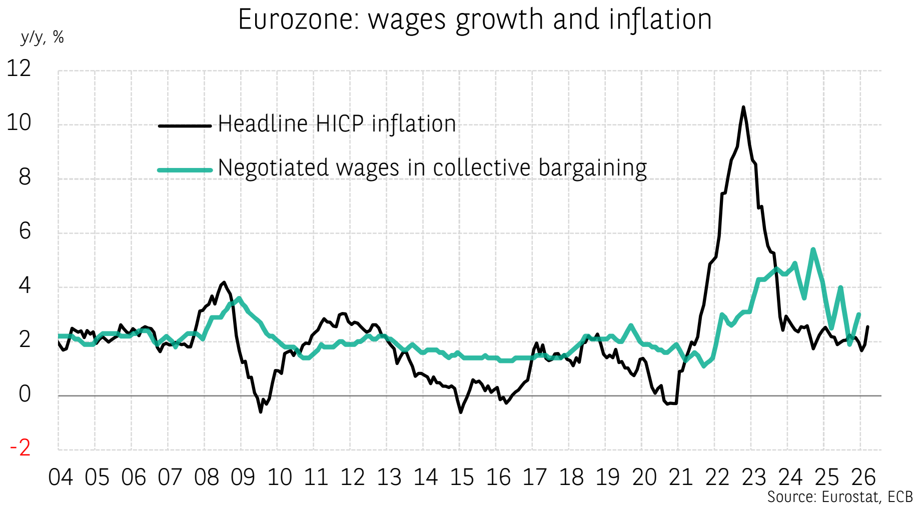
Sources : LSEG, BNP Paribas

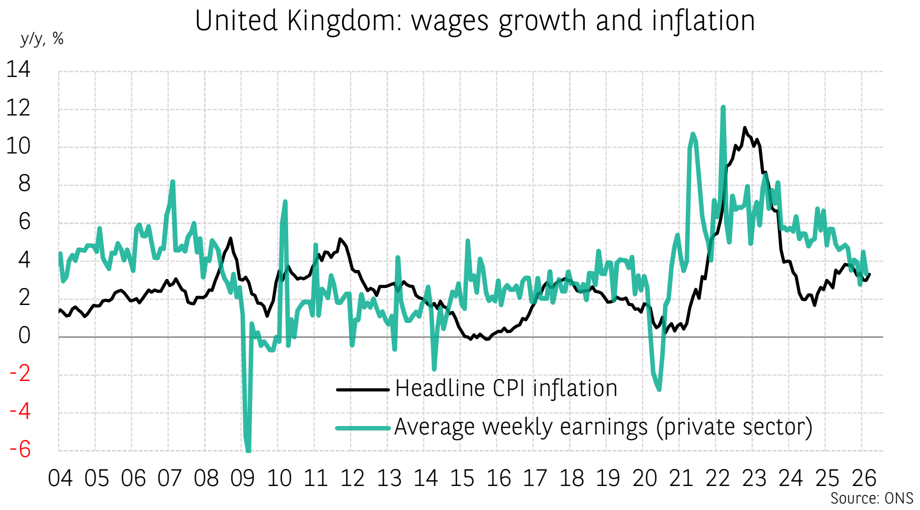
Inflation-wage dynamics:

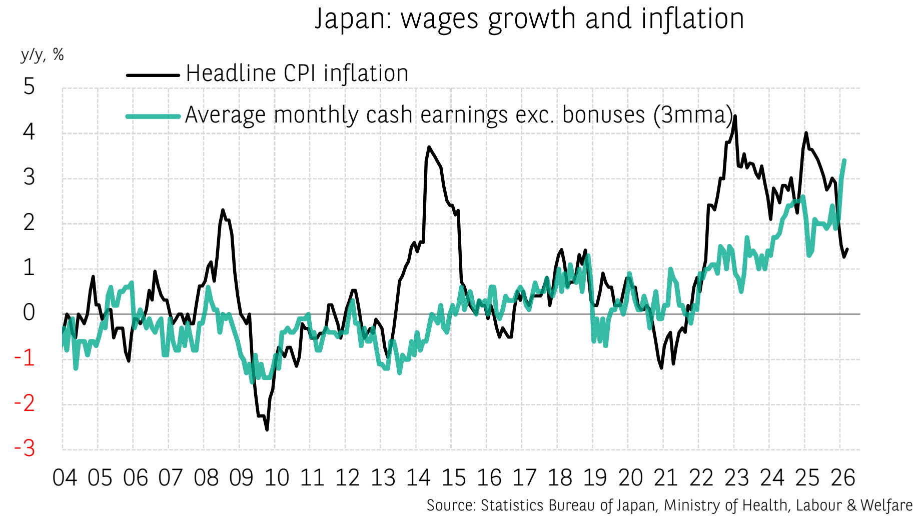
There are still no signs of a wage-price spiral taking hold.

Inflation-wage dynamics







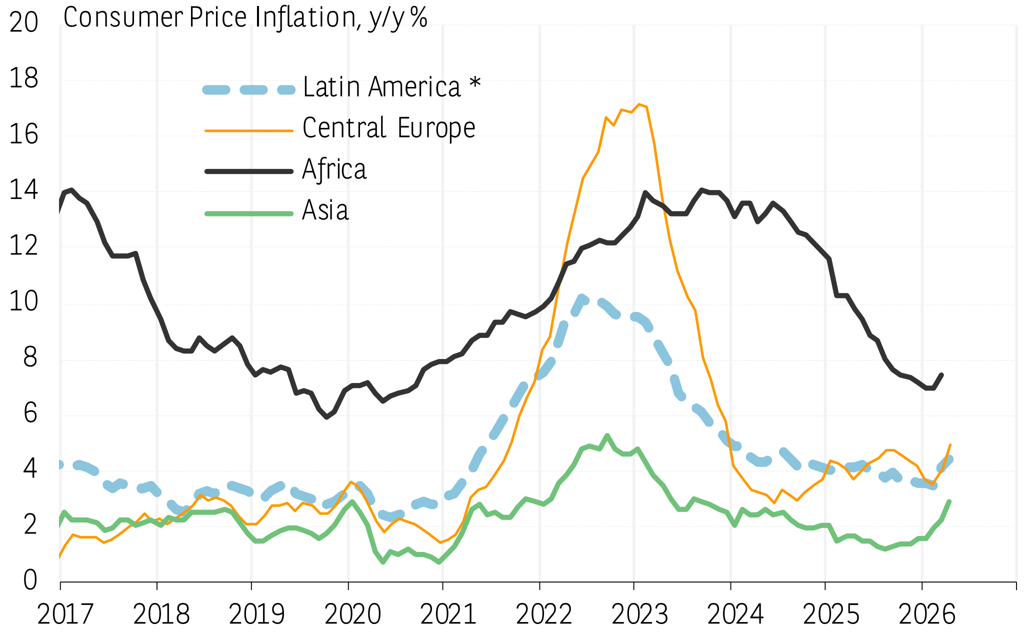


Emerging Economies:

The inflationary impact of the energy shock is spreading rapidly, though still moderately, across emerging economies.

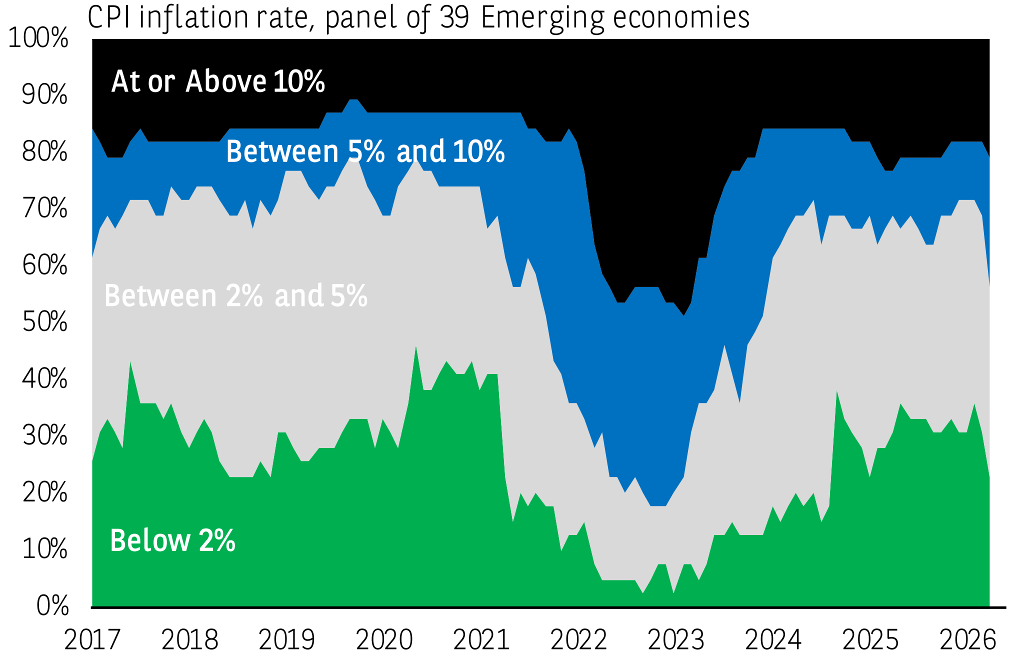
Inflation dynamics in emerging economies: degree of generalisation

Emerging countries: Average inflation rates by region



Source: Central banks, Macrobond, BNP Paribas

Emerging countries: Widespread increase in inflation pressures

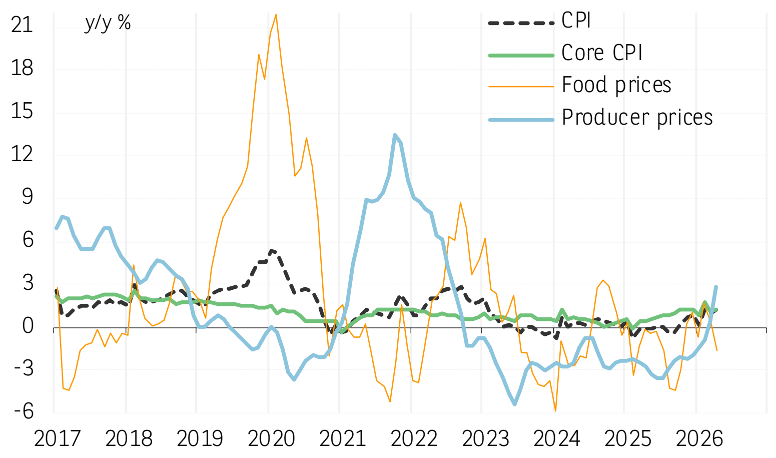


Source: Central banks, Macrobond, BNP Paribas

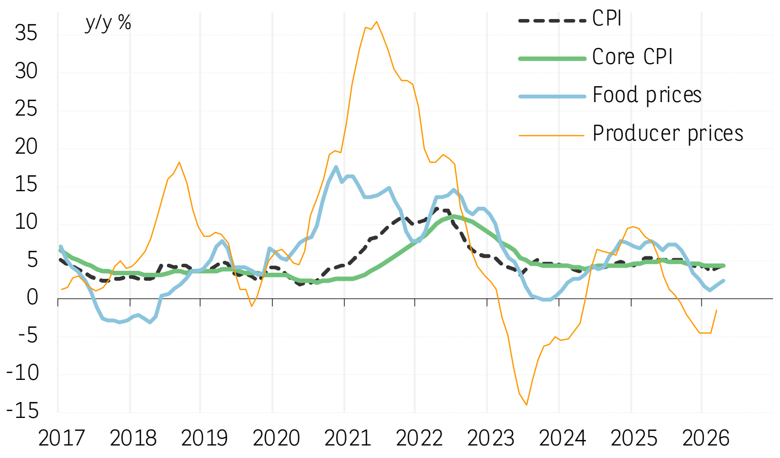
* Latin America: Brazil, Chile, Colombia, Mexico, Peru.
Central Europe: Bulgaria, Croatia, Czech Rep., Hungary, Poland, Romania, Slovakia.
Afrique: Algeria, Angola, Egypt, Kenya, Morocco, Nigeria, South Africa, Tunisia.
Asia: China, Hong Kong, India, Indonesia, Malaysia, Philippines, Singapore, South Korea, Taiwan, Thailand, Vietnam.

Dynamics and breakdown of inflation in six large emerging economies

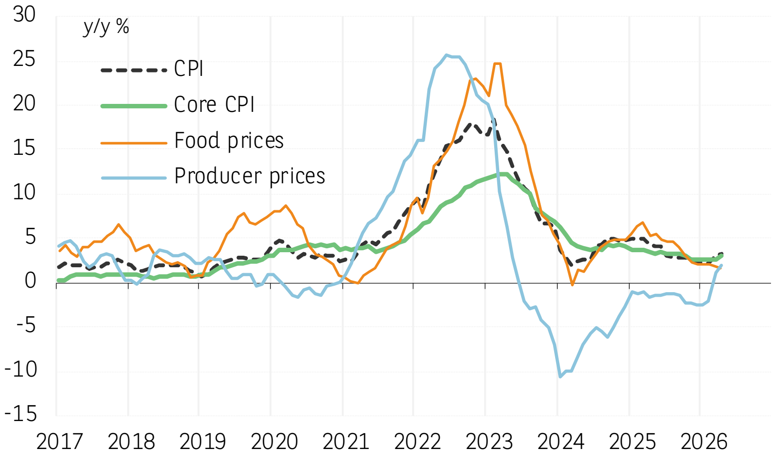
China



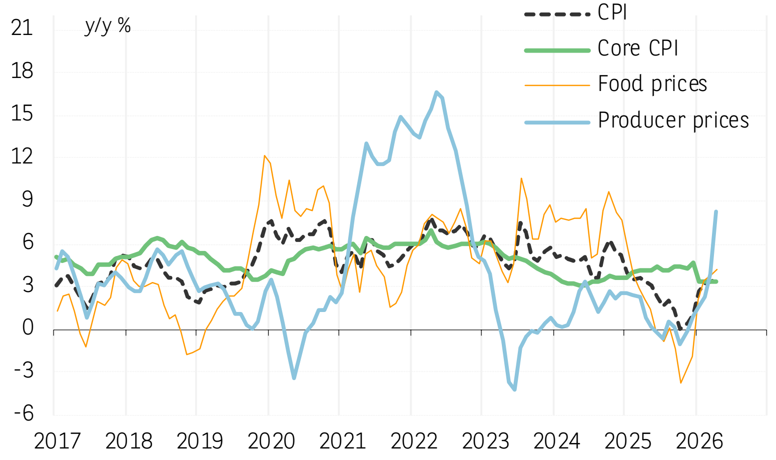
Brazil



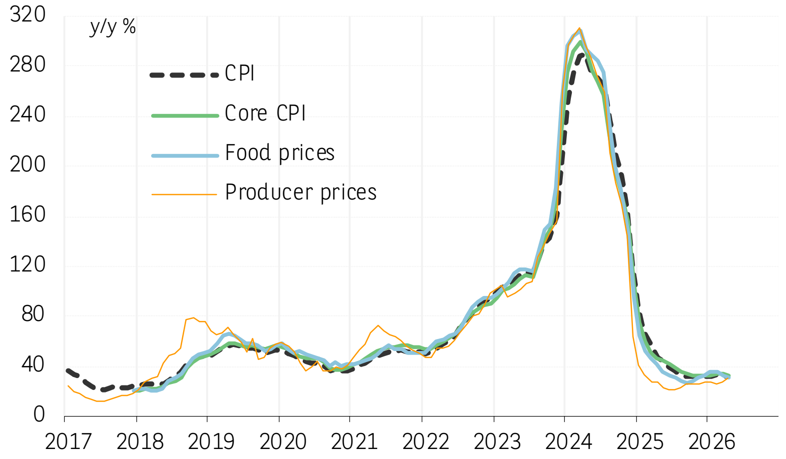
Poland



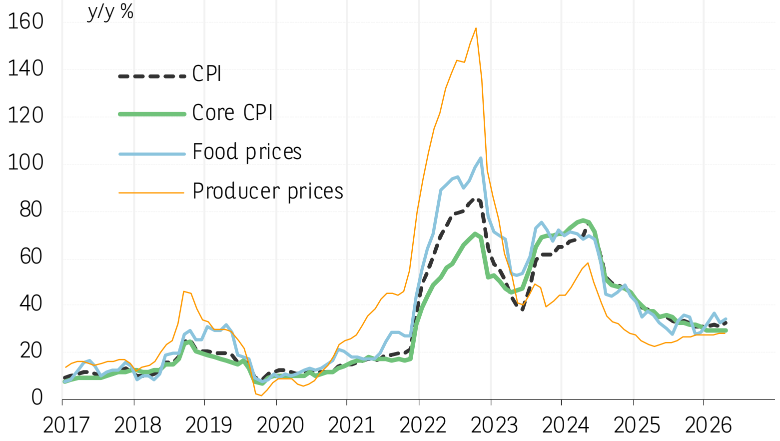
India



Argentina



Türkiye



Source: Central banks, Macrobond, BNP Paribas

Commodities:

Commodity prices remain high, but are stabilising.

Commodities

WTI crude oil price, USD/barrel

Source: Refinitiv

Natural gas price, USD/million BTU

Source: Nymex

S&P GSCI industrial metal spot price index

Source: Standard & Poors

S&P GSCI agriculture spot price index

Source: Standard & Poors

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UNITED STATES: LABOUR PRODUCTIVITY GROWTH SET TO CONTINUE

Anis Bensaidani

The outperformance of US growth is underpinned by productivity gains that are significantly higher than those of the previous decade. This acceleration is due more to the spillover effects of past investments and post-pandemic changes (such as remote working) than to artificial intelligence (AI). The roll-out of AI is too recent for productivity gains to have already made their mark at the macroeconomic level. In the medium term, however, AI is expected to support the upward trend.

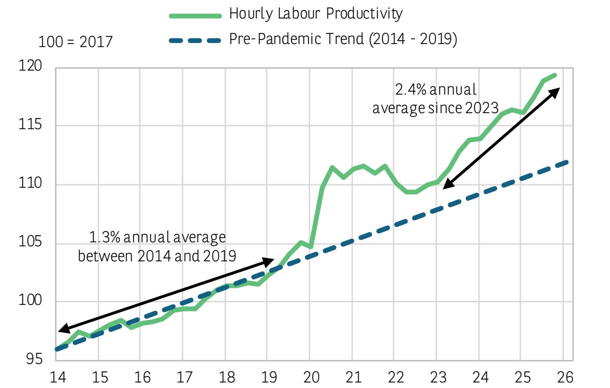
Productivity is driving US growth

Since 2022, US growth has proved resilient in the face of a succession of shocks, including inflation, monetary tightening and tariffs. On an annual average basis, growth has consistently outperformed its long-term rate (1.8% according to the Congressional Budget Office [CBO] and the IMF). According to our forecasts, this strength is set to continue in 2026 and 2027 (see EcoPerspectives United States: Growth and Full Employment tested by Uncertainty), with strong productivity gains being the key driver. Following a temporary surge linked to the pandemic crisis (which is depicted as a "bump" on the chart before correction), hourly labour productivity growth reached an annual average of +2.4% between 2023 and 2025, compared with +1.3% between 2014 and 2019.

The delayed impacts of past investment are fuelling productivity gains

Investment in AI is a powerful driver of current US growth (see Chart of the Week United States: a "K-Shaped" investment). However, this momentum simply extends a trend from the previous decade, which was already driven by digital sectors. It is therefore likely that the current increase in hourly productivity is primarily the result of past investments. The IMF also notes a concentration of productivity gains in sectors with "the highest investment in intellectual property" (IMF).

United States: sharp acceleration in productivity compared with the pre-Covid period



GRAPHIQUE

SOURCES : BEA, BNP PARIBAS

The role of changes in the labour market

Changes in the labour market complete the picture. The first evolution is remote working: according to WFH Research, 27% of paid working days were carried out from home in 2025, compared with an average of 6.2% between 2016 and 2019. However, the Bureau of Labor Statistics (BLS) identifies a positive correlation between the adoption of remote working and productivity growth (Beyond the Numbers, 2024), which is linked to the aforementioned investment in digital technology. Indeed, Maria D. Tito (FEDS Notes, 2025) sees a link between the 'ability to work remotely' and 'technological trends' that have improved the remote working experience. Two further developments in the labour market are considered to be conducive to productivity: a marked increase in business start-ups and higher worker turnover' (IMF Working Paper, 2024).

Will AI sustain this trend in the long term?

Expectations of future productivity gains driven by AI underpin the current investment cycle. US institutions are showing a moderate level of optimism regarding the degree of support AI is expected to provide. The Fed has raised its median projection for long-term GDP growth to 2.0% in Q1 2026 (+0.2 percentage points, the highest increase since 2016). As for the CBO, it considers the adoption of generative AI to be a 'modest' contributor to productivity and growth in its 10-year outlook (CBO, 2026). These estimates focus primarily on the impact of AI on growth through the 'supply' channel and productivity gains. Additionally, we must consider the 'demand' channel already at work through current business investments and household consumption expenditure which are supporting growth.

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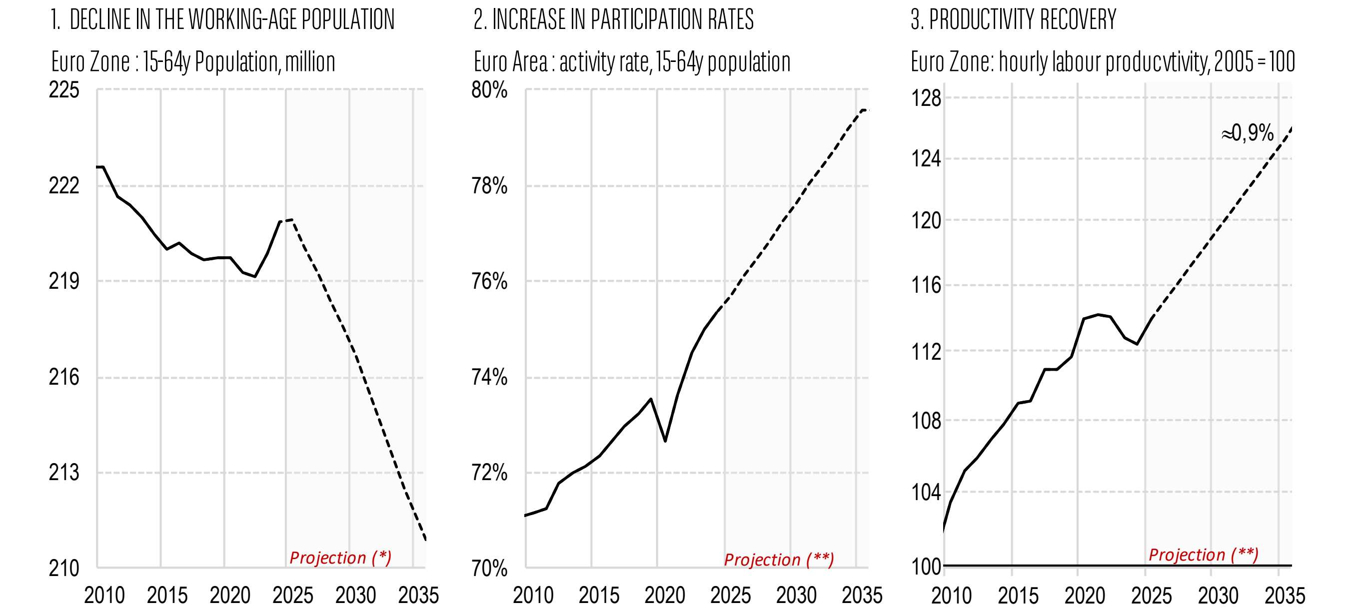
MAINTAINING POTENTIAL AS WE AGE: THE CASE OF THE EUROZONE

The Eurozone is experiencing rapid population ageing, which, at first glance, does not inspire much optimism regarding its growth prospects. However, the decline in its working-age population can be countered by effective migration policies (as seen in Italy and Spain), as well as by an increase in labour force participation rates. Furthermore, much will depend on a recovery in productivity, which experienced a sudden stop following the Covid-19 pandemic.

MAINTAINING GROWTH MOMENTUM IN THE EUROZONE: THE FACTORS INVOLVED



(*) Eurostat baseline *(**) Consistent with maintaining an annual growth rate of around 1.3%*

SOURCE: EUROSTAT, BNP PARIBAS

Population ageing is a phenomenon seen in all countries, both developed and emerging, and is fundamentally a positive development. It reflects the fact that, due to advances in medicine and improvements in living and health conditions (such as the expansion of vaccination coverage, water supply and electricity networks), life expectancy is rising. Globally, life expectancy at birth has increased from 46 years in 1950 to 73 years in 2024; in Western societies, it surpasses 80 years.

However, the ageing of populations is also attributed to declining birth rates. Globally, the fertility rate (the average number of children per woman) has been in almost continuous decline since the early 1970s. In the Eurozone, it fell below the natural replacement level as early as 1975, reaching a record low of 1.3 in 2024.

As the large post-war generations enter their senior years, they are not being replaced by a comparable number of younger individuals. According to Eurostat, people aged 65 and over are projected to account for more than a quarter of the Eurozone population by 2035 (numbering 95 million) compared with just 15% in the early 1990s[1].

Even when immigration is taken into account, the so-called 'working-age' population (those aged 15-64) is expected to see an accelerated decline (*see below*).

Under these circumstances, the risk repeatedly highlighted by the 'Draghi' report[2] is that Eurozone will struggle to generate sufficient wealth (in terms of GDP) to meet the challenges that lie ahead (such as the green transition, rearmament, and ensuring the sustainability of healthcare and pension systems).

Its so-called 'potential' growth – defined as the maximum rate at which its economy can grow without generating inflationary pressures – is presently estimated at 1.3% per year. But what about the future? The answer to this question typically involves examining the two key factors that drive economic growth: on the one hand, the total number of hours worked, and on the other, the productivity of each of those hours (as GDP is simply a combination of the two).

1 See Eurostat, 'EUROPOP' database, available here: [Database – Population and demography – Eurostat](). The estimates presented here are based on the central projections from the 2023 version of the EUROPOP database.
2 See Draghi M. (2024), *The Future of European Competitiveness*, September.

WORK MORE?

From a macroeconomic perspective, 'working more' does not necessarily translate in an increase in individual working time. In fact, as technological progress occur and lead to productivity gains, working hours per head often decrease. During the year 2025, an employee in the Eurozone will have worked 120 hours less on average than in 1995, while simultaneously generating an additional €15,000 in GDP (at constant 2025 prices).

If the total number of hours worked is nevertheless increasing, it is due to a growing number of individuals participating in the workforce. In the Eurozone, the labour force participation rate (which refers to the proportion of the population within a specific age group that is either in employment or actively seeking employment) is on an upward trend. Among 15-64 year-olds, this rate has increased by nearly 6 percentage points over the past two decades, reaching nearly 76% in 2025, a figure that exceeds that of the United States (73.7%). It is also rising among those aged 65 and over, although it remains below the OECD average.

This can be seen as the result of structural measures taken across Europe, which have included the relaxation of labour market regulations, notably to encourage the hiring of young people; raising the statutory retirement age and enhancing vocational training to boost the participation of older workers; and promoting women's participation in the workforce, in line with the objective set out in the Treaty of Lisbon.

Despite the ageing and shrinking of its working-age population, Eurozone has not yet seen a decline in the number of people in work (see *Chart 1*). Looking ahead, however, the question remains, especially as the demographic landscape is becoming increasingly challenging. Some countries, such as Italy and Spain, are already opting for greater immigration[3], which remains a key factor in economic projections for the next ten to fifteen years (since they focus on populations that are already born). In its central scenario for 2035, Eurostat does not foresee a decline in net inflows of foreign workers into the Eurozone, which are expected to remain at around 1 million per year (*i.e.* the average over the last ten years, excluding the exceptional influx of refugees from Ukraine). Based on this premise, the working-age population is still expected to decline: *ceteris paribus*, we estimate that it would fall by between 5 and 6 million people by 2035. Maintaining a positive trend therefore requires a continued rise in labour force participation rates, which cannot be simply decreed but depends on public policy decisions, which by their very nature are rarely easy to implement.

A DEMANDING ROADMAP

Assuming that efforts to integrate or retain people in the labour market continue at the same pace, labour force participation rates for those aged 15–64 and those aged 65 and over are projected to reach 80% and 10% respectively by 2035 (*Chart 2*). Although these targets may appear daunting for the Eurozone as a whole, they have in fact already been surpassed in Germany; by contrast, France stands out for its low participation rate among older people (4.4% for those aged 65 and over).

The roadmap has its local nuances and is not without its challenges; nevertheless, it offers an alternative to a future that could otherwise be rather bleak. Under the conditions outlined above, the 'Euroland' labour force would no longer be destined for decline, but would continue to grow, albeit at a slower pace (+0.3% per year between 2025 and 2035, compared with +0.7% per year between 2015 and 2025). The decline in structural unemployment is a fairly widespread trend (in France, it is estimated to have fallen by 1.3 percentage points over the past decade[4]), and its continuation could further improve the outlook. By targeting an unemployment rate of 5% in the Eurozone by 2035 (down from just over 6% today), employment growth would exceed that of the labour force, standing at +0.4% per year. A conservative estimate regarding individual working hours suggests a similar rate of growth in the total number of hours worked (+0.4% per year). While this trend remains positive, it would still be slower than the previous decade's rate (+1% per year from 2015 to 2025).

WORKING MORE EFFICIENTLY?

To remain on a growth trajectory of +1.3% per year, or even higher, the Eurozone ultimately has no choice but to sustainably improve hourly labour productivity, which has stalled since the Covid-19 pandemic. The long-term goal should be at least +0.9% per year, which, once again, cannot be mandated by decree but is contingent on political decisions, which the Draghi report has done much to highlight. In line with the work of Philippe Aghion, winner of the 2025 Nobel Prize in Economics, it would be essential to promote innovation and all that facilitates it. The European Economic Simplification Act, aimed at facilitating business activity (which was recently adopted in France), is clearly part of this trend. The 'One Europe, One Market' initiative, which aims to enhance the integration of capital markets and foster the development of venture capital at EU level, is another example.

As an encouraging sign, and after years of decline or stagnation, hourly productivity in the Eurozone is reported to have recently rebounded (+1.4% in 2025 according to Eurostat estimates). The pressing question at hand is: what could be the impact of the widespread deployment of artificial intelligence (AI)?

Here, several viewpoints clash. The most pessimistic forecasts predict that, in the long run, we may see the 'end of work' – that is, the replacement of all or part of human tasks by machines, leading inevitably to increased unemployment. Conversely, the most optimistic analysts note that history is punctuated by episodes of 'creative destruction', during which waves of innovation do indeed eliminate jobs, but also create new ones that drive progress. An extensive report on the implications of AI produced by BNP Paribas Global Markets highlights that the internet revolution of the 1990s and 2000s did not result in a fundamental increase in unemployment, particularly in the United States, where it originated[5]. This results in quite optimistic conclusions: well positioned in the deployment of AI, and also poised to make significant investments through Germany, the Eurozone is likely to counterbalance the adverse impacts of its ageing population through enhanced productivity gains. Compared to a baseline 'business as usual' scenario, its GDP could potentially rise by as much as 0.2 percentage points per year over the next ten years.

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3 In Italy, a three-year decree on migration flows signed in 2025 authorises nearly 500,000 new arrivals by 2028, in addition to the 450,000 work permits already issued between 2023 and 2025.

4 See Banque de France (2026), *Labour market reforms and the decline in structural unemployment in France: a retrospective 2015–2025*, Bulletin No 264, May.

5 BNP PARIBAS Markets 360 (2026), *A Hitchhiker's Guide to the Macro Impact of AI*, Deep Dive, 15 April.

Find out more in our scenario and forecasts

ADVANCED ECONOMIES

UNITED STATES

The Fed is closer to tightening than to easing. Kevin Warsh has been officially appointed Chairman of the Fed by Donald Trump and unanimously elected Chairman of the FOMC by its members. He is expected to initiate a 'change of regime' regarding the measurement of inflation, communication (which will be less frequent), and the Fed's balance sheet (which will be reduced in size). The FOMC minutes of 28-29 April confirm that the "overwhelming majority" of committee members recognise that the return of inflation to target has been delayed, while the labour market and economic growth appear to be on the right track. A "majority" of participants indicated that a tighter monetary policy "would become appropriate" if inflation remains above 2%. The Minutes indicate that the members in favour of abandoning the "dovish bias" (a view recently adopted by Governor Waller) outnumbered the two dissenting votes cast during the meeting. The market probability of at least one rate hike before the end of 2026 now stands at 80%. Long-term inflation expectations have risen to 3.9% (according to the University of Michigan). *Coming up: PCE inflation and Q1 GDP (Thursday).*

EUROPEAN UNION

Trade agreements. The European Parliament and the Council have provisionally approved the trade agreement with the United States (without requiring prior compliance with US commitments), providing for the lifting of tariffs on the majority of US imports into the EU. The agreement's sunset clause will come into force at the end of 2029. The agreement may be suspended if, by the end of 2026, the US has not lifted tariffs on steel. The European Parliament is scheduled to vote on the agreement between 15 and 18 June. Furthermore, the EU and Mexico have finalised a trade agreement and a comprehensive strategic partnership.

EUROZONE

Stabilisation in confidence surveys, growth in intra-zone trade. Household confidence recovered to -19 in May (-20.6 in April). The composite PMI fell (-1.3 m/m to 47.5), partly due to one-off effects (see the comment on France), particularly in manufacturing (-0.8 m/m to 51.4), while the services PMI fell by 1.2 m/m to 46.4. The rise in input costs (+2.2 m/m to 70.5) is not being passed on to selling prices (+0.1 m/m to 56.9). The rise in negotiated wages slowed to 2.5% y/y in Q1 (3% in Q4). Exports (+2.2% m/m in March) are driven by intra-European trade. The European Commission (EC) has lowered its growth forecast to 0.9% in 2026 and 1.2% in 2027 (in line with the ECB's baseline scenario). Inflation is expected to reach 3% in 2026 and 2.3% in 2027. *Coming up: car registrations (Monday); EC survey (Tuesday).*

Germany: Improvement in confidence surveys, in May have partially reversed the pessimism seen in April. This is evident in the income prospects regarding household confidence (-29.8; +3.3 m/m) and expectations regarding the Ifo business climate (84.9; +0.7 m/m). The composite PMI stabilised in May (48.6; +0.2 m/m), driven by services (47.2; +0.3 m/m) and despite a deterioration in manufacturing (49.9; -1.5 m/m). The rise in input prices is accelerating, while the increase in selling prices is slowing down. The rise in producer prices (+1.7% y/y in April) remains confined to refined oil. Q1 growth is confirmed at 0.3% q/q, driven by exports and public demand, while household consumption stagnated and investment declined. China became the leading foreign investor in Germany in 2025, overtaking the United States. *Coming up: inflation and unemployment (Friday).*

Italy: Exports rose sharply in March, by 7.4% y/y, mainly to EU countries. *Coming up: inflation and Q1 GDP (Friday).*

France: A decline in services, robust performance in industry and construction. The INSEE business climate index stabilised at 94 in May (97 in March), while the composite PMI contracted to 43.5 in May (-4.1 m/m). Both indicators are in line for services (92.6; -1.7 m/m versus 42.9; -3.6 m/m), weighed down by the hotel industry and retail sector. However, they show a divergence in industry: +2 m/m to 102 for INSEE (bolstered by aerospace and intermediate goods); -3.9 m/m to 48.9 for the PMI (survey conducted later and affected by the reduction of two working days in May compared with May 2025). According to INSEE, activity is rebounding in construction (97, +1 m/m), following a 1.5% q/q decline in output in Q1. Sales of new homes rose in Q1 (including a 4% quarter-on-quarter increase for households). France remained the top destination for foreign investment in Europe in 2025 (AI, defence, energy, software, logistics) according to EY. Although the number of projects fell by 17%, employment levels remained stable. The government plans to increase fuel subsidies to EUR 1.2 billion, equivalent to 0.03% of GDP (an extension of sector-specific support and an increase in support for households). *Coming up: household confidence (Wednesday); GDP, inflation and employment (Friday).*

JAPAN

Strong growth in Q1, inflation moderated by government measures. GDP growth reached +0.4% q/q (+0.2pp) in Q1, driven by exports and household consumption. Export momentum continued in April (+14.4% y/y). In May, the composite PMI (51.1; -1.1 m/m), services PMI (50.0; -1 m/m) and manufacturing PMI (54.5; -0.6 m/m) all declined. Core inflation (excluding unprocessed food) fell to +1.4% y/y in April (-0.4pp), driven by energy costs (-3.9% y/y, -1.8pp m/m), while inflation in services excluding imputed rents (+1.2% y/y; -0.8pp m/m) is being moderated by favourable fiscal measures. *Coming up: industrial production and consumer confidence (Friday).*

UNITED KINGDOM

A slowdown in economic activity, employment and (temporarily) inflation. The composite PMI (48.5 in May; -4.1 m/m) is being dragged down by the services sector (47.9; -4.8 m/m). The manufacturing PMI remains stable at 53.7. Inflationary pressures on input and selling prices remain high. Household confidence rose to -23 in May (+2 m/m) according to GFK. The unemployment rate reached 5% in March (+0.1pp m/m), while employment recorded its sharpest fall in six years in April (-100,000). Wage growth, excluding bonuses, stood at 3.4% over three months (previously 3.6%). CPI inflation fell to 2.8% y/y in April (vs 3.3% in March); core inflation stood at 2.5% (vs 3.1%). The reduction in Ofgem's regulated energy price cap has limited energy inflation. Producer prices rose by 4% y/y in April (+3% in March). Markets have pushed back their expectations for the BoE's first rate hike to September (July according to our forecast). The UK has concluded a trade agreement with the Gulf Cooperation Council countries.

EMERGING ECONOMIES

Emerging market currencies after three months of war: Emerging markets have largely avoided widespread stress, although the currencies that have recorded the sharpest depreciation since the start of the conflict are predominantly Asian currencies (PHP: -5.8% against the USD between 27 February and 25 May; IDR: -5.3%; KRW: -4.8%; THB: -4.5%; INR: -4.4%), as well as the Egyptian pound (-8.4%) and the Romanian leu (-4.2% against the USD and -2.8% against the EUR).

Find out more in our scenario and forecasts

These countries are raising concerns among investors due to their vulnerability to the energy shock and/or deteriorating fiscal and external imbalances. The Indian and Korean central banks are considering further measures to support their currencies, while Indonesia has just raised its key interest rates.

AFRICA & MIDDLE EAST

South Africa: Inflation rebounded in April. It accelerated to 4% y/y, up from 3.1% in March, driven by transport (+4.9% y/y) and fuel (+11%), for which administered prices were adjusted in April to track international price movements. Inflation has now reached the upper limit of the central bank's target range (3% ± 1%), which may prompt a potential increase in the key interest rate as early as next week.

Egypt: The Central Bank has left its key interest rates unchanged (20% for the overnight lending rate) against a backdrop of ongoing inflationary pressures (+14.9% y/y in April), an energy crisis and the depreciation of the pound.

Morocco: Successful capital markets debut. The government raised EUR 2.25 billion. The issue was divided into two tranches with maturities of 8 and 12 years. The favourable terms underscore the strength of the Kingdom's macroeconomic fundamentals.

Kuwait and Qatar: Inflationary pressures remained contained in April despite rising food prices. Inflation is even slowing in Qatar, at 2.6% y/y, following a rebound to 4.6% in March. It stands at 2.6% y/y in Kuwait (compared with 2.1% in March).

Trade agreement between the GCC and the United Kingdom. The short-term economic impact for the Gulf states is expected to be minimal as the bulk of exports is already exempt from customs duties (hydrocarbons). However, this agreement carries significant political weight at a time when the region is facing multiple tensions (war in Iran, divergence between Saudi Arabia and the United Arab Emirates).

ASIA

Indonesia: Interest rate hike. Despite moderate inflationary pressures (+2.4% y/y in April), key interest rates were raised by 50 basis points to support the rupiah, which has fallen to historically low levels against the dollar. Further measures are expected. The depreciation of the rupiah is attributable less to the energy bill than to a combination of financial and structural factors. Indonesia is dependent on foreign portfolio investment to finance its current account deficit and public financing needs. The growing risks of fiscal slippage (exacerbated by the energy subsidy policy) and issues related to governance under the Prabowo administration are two major sources of concern. The government's recent decision to tighten its control over exports of raw materials (nickel, coal, palm oil) has further alarmed investors.

Vietnam: Trade balance in the red. Exports of goods remained robust in April (+22.2% y/y in value terms, following 18.6% in Q1 2026), driven by technology goods, yet imports rose more rapidly (+35.7% in April, following +27.2% in Q1) due to rising energy costs. The trade balance has slipped into deficit (-USD 7.5bn over the first four months of 2026, compared with +USD 4.3bn over the same period in 2025). The dong has depreciated by just 1.2% against the USD since 27 February, supported by central bank interventions and buoyed by sustained strong export and FDI prospects. Vietnam's current account is expected to remain in surplus this year. However, foreign exchange reserves are quite limited to absorb the rise in hydrocarbon imports, and there is a significant risk of a rapid depreciation of the VND.

EMERGING EUROPE

Türkiye: New financial tensions. On 21 May, an appeals court in Ankara overturned the results of the 2023 congress of the Republican People's Party (CHP). This ruling invalidates the election of Özgür Özél as CHP leader and threatens to plunge the main opposition party into turmoil. This announcement prompted non-resident investors to sell off equities and bonds. So far, the impact on the exchange rate and the risk premium has been limited: the lira fell by 0.8% against the dollar, and the CDS spread did not widen beyond 245 basis points. However, this announcement is fuelling market jitters, which have been particularly pronounced since the central bank released its inflation report last week, revealing an upward revision to its inflation forecasts.

LATIN AMERICA

Bolivia: Cabinet reshuffle on the horizon. After several weeks of heightened tension, President Rodrigo Paz, who has been in power since November 2025, has announced that a cabinet reshuffle is expected to take place in the coming days. In February, the World Bank announced its support for the new government's economic stabilisation programme (including reform of the hydrocarbons sector to attract foreign investment). The economic situation has deteriorated significantly, with ongoing shortages of dollars and fuel, while rising inflation (14.2% y/y in April) is exacerbating social tensions surrounding the government's reforms. In its April forecasts, the IMF highlighted that Bolivia was one of the region's most fragile economies. It forecasts a 3.3% contraction in GDP and average inflation of around 21% in 2026.

Chile: GDP contraction in Q1. The economy contracted more sharply than expected (-0.5% y/y). The decline in investment and industrial activity outweighed the rise in public spending and the strength of private consumption. However, the central bank's primary concerns continue to revolve around inflationary risks linked to the energy shock. Inflation reached 4.0% y/y in April, and it is likely that the key interest rate will remain unchanged at 4.5% at the meeting on 16 June.

COMMODITIES

On Monday, 18 May, the United States announced a 30-day extension related to the lifting of sanctions on Russian crude oil stored at sea (following the expiry of the previous extension on 17 May). This authorisation applies only to barrels of oil already loaded onto ships as of 17 April, and does not permit the loading of additional barrels. The impact on the market is expected to be limited. At the same time, the United Kingdom has also eased sanctions on imports of petroleum products (kerosene and diesel) from third countries, which are refined from Russian crude oil. These sanctions were introduced in October 2025 and are in addition to those targeting direct purchases of crude and refined oil imported from Russia, which remain in place.

Commercial stocks and strategic oil reserves in the United States continue to face significant pressure to sustain high levels of exports. The drawdown in the Strategic Petroleum Reserve reached an historically high rate for the second consecutive week, with a decline of 9.9 million barrels between the weeks of 8 May and 15 May (out of a total stock of 374 million).

The price of Brent fell below $100/b on the morning of 26 May ($99.3/b), down 11.5% compared with Monday, 18 May.

MARKETS OVERVIEW

	in %	in bps			
	25/05/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2.48	-15.6	-4.3	+39.1	+72.6
Bund 5Y	2.63	-20.0	-4.6	+16.8	+57.6
Bund 10Y	2.92	-21.2	-5.5	+5.8	+34.4
OAT 10Y	3.50	-23.1	-9.2	-0.1	+22.7
BTP 10Y	3.65	-27.7	-13.3	+15.2	+3.9
BONO 10Y	3.37	-21.9	-7.9	+12.4	+16.8
Treasuries 2Y	4.10	+4.5	+32.3	+61.9	+9.3
Treasuries 5Y	4.26	-0.4	+34.7	+53.3	+18.1
Treasuries 10Y	4.56	-1.2	+25.0	+39.0	+3.2
Gilt 2Y	4.34	-15.7	-1.9	+58.1	+35.5
Treasuries 5Y	4.47	-15.4	+2.9	+62.6	+33.4
Gilt 10Y	4.91	-3.9	-0.7	+47.6	+17.2

Currencies & Commodities

	Level	Change, %			
	25/05/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.16	+0.0	-0.5	-0.9	+2.6
GBP/USD	1.35	+0.8	+0.0	+0.4	+0.0
USD/JPY	158.93	+0.1	-0.4	+1.4	+11.4
DXY	99.24	+0.0	+0.7	+0.9	-1.0
EUR/GBP	0.86	-0.8	-0.5	-1.2	+2.6
EUR/CHF	0.91	-0.4	-0.9	-2.0	-2.1
EUR/JPY	185.03	+0.1	-0.9	+0.5	+14.3
Oil, Brent ($/bbl)	103.75	-7.4	-1.6	+70.5	+60.1
Gold ($/ounce)	4570	+0.7	-3.2	+5.7	+36.1

Equity Indices

	Level	Change, %			
	25/05/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World ($)	4819	+1.7	+4.0	+8.8	+26.7
North America					
S&P500	7473	+1.0	+4.3	+9.2	+28.8
Dow Jones	50580	+1.8	+2.7	+5.2	+21.6
Nasdaq composite	26344	+1.0	+6.1	+13.3	+40.6
Europe					
CAC 40	8258	+3.4	+1.2	+1.3	+6.8
DAX 30	25389	+4.4	+5.2	+3.7	+7.4
EuroStoxx50	6137	+4.9	+4.3	+6.0	+15.2
FTSE100	10466	+1.4	+0.8	+5.4	+20.1
Asia					
MSCI, loc.	1895	+2.8	+4.2	+12.2	+32.6
Nikkei 225	65158	+7.1	+9.1	+29.4	+75.3
Emerging					
MSCI Emerging ($)	1711	+2.9	+6.3	+21.8	+46.2
China	76	-1.0	-3.3	-7.4	+2.9
India	945	+3.1	+0.2	-10.7	-10.7
Brazil	1886	+0.3	-7.8	+14.6	+34.9

Performance by sector

Eurostoxx600

Year 2026 to 25-5, €

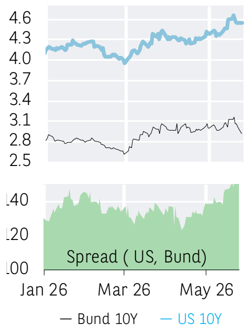
+33.2%	Oil & Gas
+27.3%	Telecoms
+26.2%	Commodities
+20.3%	Technology
+13.2%	Utilities
+10.6%	Chemical
+8.1%	Industry
+6.7%	**Eurostoxx600**
+5.9%	Banks
+4.0%	Food industry
+3.2%	Financial services
+0.5%	Construction
-1.0%	Insurance
-1.1%	Real Estate
-1.6%	Health
-4.2%	Travel & leisure
-5.1%	Media
-6.0%	Retail
-12.0%	Consumption Goods

S&P500

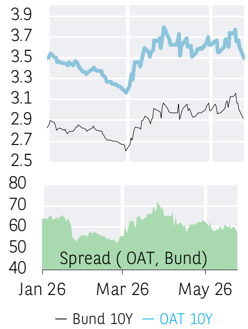
Year 2026 to 25-5, $

+37.8%	Semiconductors
+31.5%	Energy
+26.7%	Tech. Hardware & Equip.
+14.6%	Capital Goods
+12.5%	Food, Beverage & Tobacco
+11.7%	Retail
+9.9%	Materials
+9.5%	Media
+9.3%	Consumer Discretionary
+9.2%	**S&P500**
+5.9%	Utilities
+3.3%	Telecoms
-0.5%	Pharmaceuticals
-4.3%	Bank
-4.4%	Insurance
-4.5%	Automobiles
-7.1%	Consumer Services
-8.1%	Healthcare
-12.5%	Commercial & Pro. Services
-30.2%	Real Estate

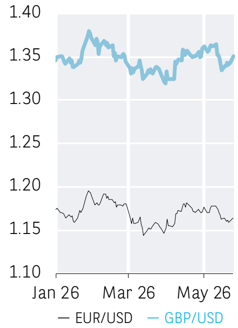
Bund 10Y & US Treas. 10Y



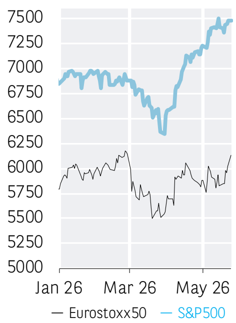
Bund 10Y & OAT 10Y



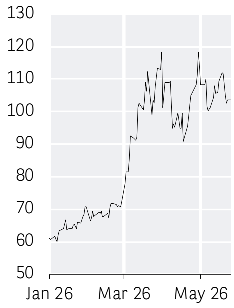
EUR/USD & GBP/USD



EUROSTOXX 50 & S&P500

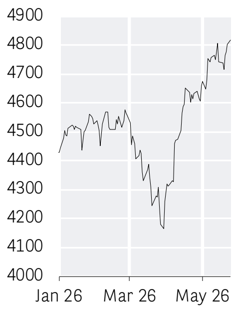


Oil, Brent ($/bbl)

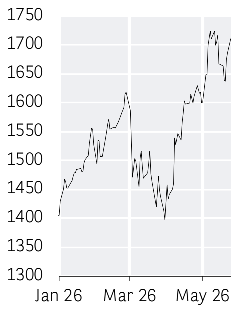


Gold ($/ounce)

MSCI World ($)



MSCI Emerging ($)

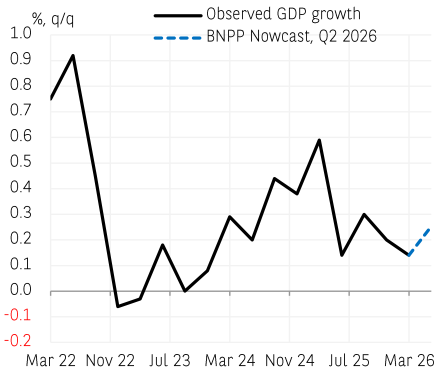


SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB

The scenario, forecasts and nowcasts of the Economic Research – 26 May 2026

NOWCASTS OF THE ECONOMIC RESEARCH

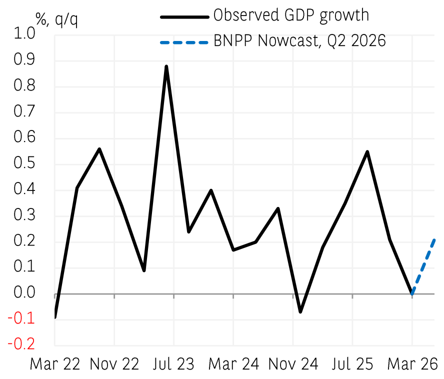
Eurozone



Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth has been revised downward due to the deterioration in confidence surveys (PMI, consumer confidence). It still points to a 0.2% q/q increase in activity in Q2, in line with our forecast.

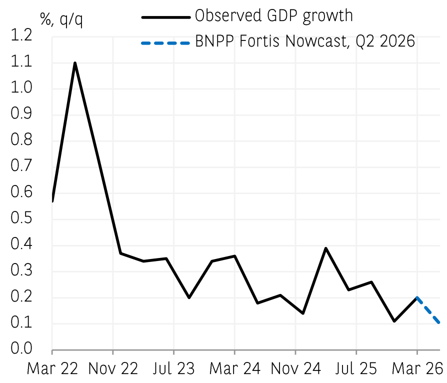
France



Source: Refinitiv, BNP Paribas

Our *nowcast* for French GDP growth suggests a recovery in Q2 2026, at +0.2% q/q, driven by the one-off factors that weighed on Q1 GDP (aeronautics exports and construction output).

Belgium



Source: Refinitiv, BNP Paribas

Our *nowcast* for Q2 Belgium GDP growth suggests a low figure (0.1% q/q), driven by the propagation of energy price shock throughout the economy, with 40% of construction and manufacturing firms announcing selling price hikes in the next 3 months.

Read the Nowcast methodology
Tarik.rharrab@bnpparibas.com

ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

%	GDP Growth 2024	GDP Growth 2025	GDP Growth 2026 e	GDP Growth 2027 e	Inflation 2024	Inflation 2025	Inflation 2026 e	Inflation 2027 e
United States	2.8	2.1	2.4	2.3	2.9	2.7	3.8	3.0
Japan	0.1	1.1	0.5	0.5	2.7	3.1	2.4	3.4
United Kingdom	1.1	1.4	0.7	1.2	2.5	3.4	3.4	3.2
Euro Area	0.9	1.5	1.0	1.3	2.4	2.1	3.0	3.3
Germany	-0.5	0.3	0.8	1.1	2.5	2.2	3.2	3.5
France	1.1	0.9	0.8	1.1	2.3	1.0	2.4	1.9
Italy	0.5	0.7	0.7	0.8	1.1	1.7	3.1	3.7
Spain	3.5	2.8	2.3	2.2	2.8	2.7	3.3	3.1
China	5.0	5.0	4.6	4.5	0.2	0.0	1.3	1.4
India*	7.1	7.6	6.6	6.8	4.6	2.1	4.5	4.2
Brazil	3.4	2.3	2.0	1.6	4.4	5.0	4.7	4.5

Source : BNP Paribas (e: Estimates & forecasts)
Last update: 26 May 2026
* Fiscal year from April 1 of year N to March 31 of year N+1

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Interest and exchange rates

Interest rates, %		2026				2027
End of period		Spot 22/05	Q2	Q3	Q4	Q4
US	Fed Funds (upper limit)	3.75	3.75	3.75	3.75	3.75
	T-Note 10y	4.59	4.40	4.50	4.55	4.55
Eurozone	deposit rate	2.00	2.25	2.50	2.50	2.50
	Bund 10y	3.13	3.15	3.20	3.35	3.10
	OAT 10y	3.73	3.77	4.00	4.17	3.60
	BTP 10y	3.93	3.85	3.95	4.10	3.60
	BONO 10y	3.59	3.57	3.64	3.79	3.42
UK	Base rate	3.75	4.00	4.25	4.25	3.50
	Gilts 10y	5.11	4.70	4.60	4.50	4.30
Japan	BoJ Rate	0.75	1.00	1.00	1.25	2.00
	JGB 10y	2.70	2.40	2.55	2.60	2.70

Exchange Rates		2026				2027
End of period		Spot 22/05	Q2	Q3	Q4	Q4
USD	EUR / USD	1.16	1.19	1.20	1.21	1.25
	USD / JPY	159	159	159	160	160
	GBP / USD	1.34	1.35	1.35	1.35	1.36
EUR	EUR / GBP	0.87	0.88	0.89	0.90	0.92
	EUR / JPY	185	189	191	194	200

Brent		2026				2027
Quarter Average		Spot 22/05	Q2	Q3	Q4	Q4
Brent	USD/bbl	112	110	90	85	83

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 26/05/2026

UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.4%, a yearly improvement (up from 2.1% in 2025). This apparent resilience to energy, uncertainty and tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.8% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these appears to be less significant than expected. The labour market is experiencing a slowdown in both demand and supply, reflecting a less dynamic economy than after the pandemic and the administration's tighter immigration policy. We expect the Fed Funds target range to remain steady at 3.5% - 3.75%, with a FOMC shifting to a 'two-sided outlook', signaling equal readiness to implement rate hikes or cuts if warranted.

CHINA

Economic growth accelerated to +5.0% y/y in Q1 2026, vs. +4.5% in Q4 2025. It stood at 5% in 2025 as a whole and it is expected to slow moderately in 2026. Growth remains characterized by a K-shaped trajectory. On the one hand, exports are still dynamic, and Chinese goods are likely to remain competitive in the short term. On the other hand, domestic demand remains sluggish. It rebounded in the first two months of 2026 but has weakened significantly since March. The crisis in the property sector continues and confidence of households and private investors remains low. The authorities will maintain supportive fiscal and monetary policies, but their measures may continue to be modest, even in a less supportive global environment. Deflationary pressures are expected to decline in 2026, notably thanks to higher global energy prices and anti-involution measures implemented by the authorities.

EUROZONE

Eurozone growth would slow due to spillovers from the Middle East conflict. In Q1 2026, GDP growth disappointed as a result of one-off factors (France and Ireland) but remained resilient in Germany and Italy. In 2026, consumption, would be held back by falling real wages. GDP growth, which reached 1.5% in 2025, would slow down to 1.0% in 2026 and 1.3% in 2027, while inflation would rebound to 3.0% in 2026 and 3.3% in 2027 (compared to 2.1% in 2025). Activity would nevertheless withstand the energy shock, supported by investment in defence, AI, and electrification, which should continue to boost intra-EU trade. As inflation rebounds, two 25-basis-point hikes in the ECB's policy rate would take place in 2026 – with the first hike expected in June – pushing the deposit facility rate to 2.5%. As inflation rebounds, two 25-basis-point hikes in the ECB's policy rate would take place in 2026 – with the first hike expected in June – pushing the deposit facility rate to 2.5%.

FRANCE

GDP growth deteriorated to 0% q/q in Q1 (after 0.2% q/q in Q4) as a result of one-off factors, including low aeronautics exports (-20% q/q despite an increase of the output) and construction output (-1.5% q/q). From Q2 2026, growth should be affected by the impact of higher oil prices on inflation (2.4% in 2026, after 1% in 2025) and household purchasing power (with a likely impact on their consumption). In 2026, GDP growth should reach 0.8% in 2026 (after 0.9% in 2025), driven by public spending and private investment in AI. Higher inflation (2.4% in 2026, after 1% en 2025) would weigh on GDP growth.

UNITED KINGDOM

Economic activity is expected to slow down in 2026, with growth limited to 0.7% after 1.4% in 2025; following a forecasted +0.4% q/q in Q1, the average quarterly pace would fall to around +0.1%. This slowdown would occur against a backdrop of renewed inflationary pressures triggered by the war in Iran: inflation would reach 3.6% y/y before easing only gradually to 3.3% y/y in 2027, remaining well above BoE's target. In this context, and contrary to the initially envisaged easing scenario, monetary policy would shift toward a tightening of 50 basis points in 2026. 10y gilt yields will remain elevated in 2026, before falling to 4.30% in 2027 on reduced net supply, a decline in political risk premia and a market starting to eye BoE rate cuts.

JAPAN

The energy shock is set to impact the strong momentum of the Japanese economy negatively. We expect annual GDP growth to stand at 0.5% in 2026, down from 1.1% in 2025. Higher inflation and production costs are expected to weigh on the economy's overall performance. On the other hand, the latter is still tempered by structural supply constraints and supported by fiscal policy and wage growth. Inflation has generally overshot the 2% y/y target since 2022 and is expected to stay there through at least 2028. Accordingly, the Bank of Japan initiated a process of "adjustment in the degree of monetary accommodation" in 2024, lifting the policy rate to 0.75% so far (previously negative). We expect the process to extend, including one hike (25pb) in Q2 2026, until a 2.0% terminal rate in end-2027. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

In our base-case scenario (gradual normalisation of the Middle East situation with persistent price tensions), we expect the USD depreciation against the EUR to resume, albeit very gradually, amid broader diversification away from the dollar. We forecast EUR/USD to reach 1.21 by Q4 2026 and 1.25 by Q4 2027. We anticipate stabilisation of the yen and the GBP against the dollar in 2026 (USD/JPY 160 and GBP/USD 1.35 by Q4 2026) and 2027.

CHART OF THE WEEK

20 May 2026

BLOCKADE OF THE STRAIT OF HORMUZ: THE OIL MARKET SOON TO RUN OUT OF OPTIONS

Pascal Devaux

Global oil market will soon have lost more than one billion barrels of crude and petroleum products

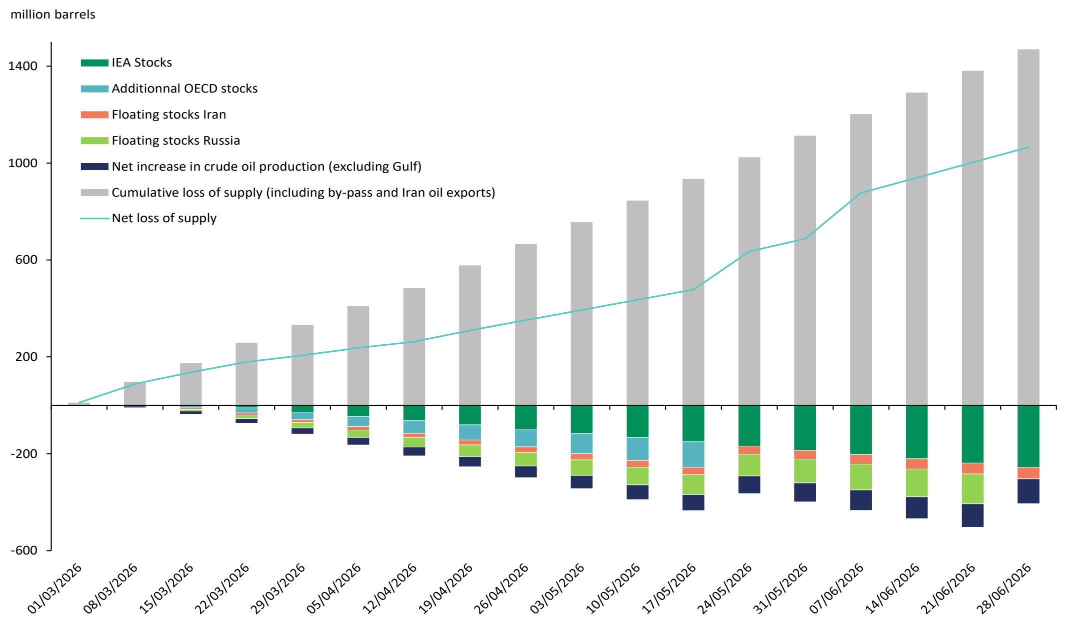

CHART 1 SOURCE: INTERNATIONAL ENERGY AGENCY (IEA), BNP PARIBAS

The blockade of the Strait of Hormuz over the past two and a half months has significantly reduced the amount of oil available globally. The use of regional bypass, and the release of commercial stocks and strategic reserves are only partial and temporary solutions. Without the restoration of oil flows through the strait, the growing shortfall in petroleum products will accelerate the rise in oil prices and destruction in global oil demand.

A considerable volume of oil is out of the market despite the use of alternative routes

Under normal circumstances, nearly 19.8 million barrels per day (mb/d) of crude oil and refined products pass through the Strait of Hormuz. Due to the blockade, part of this flow is being diverted through existing alternative transit infrastructures. Around 7 mb/d are thus being diverted through various bypass pipelines[1].

In addition, there were 2 to 3 mb/d of Iranian exports via the Strait until the US blockade was imposed on April 13th. Taking these bypass capacities into account, the volume of oil production absent from the market is estimated at around 9 mb/d, which remains considerable.

Massive stock drawdowns offer temporary relief

In response to this growing oil supply shortfall, the International Energy Agency (IEA) announced on March 11th the coordinated release of strategic stocks by member countries. Totaling a record 426 million barrels, these stocks consist of 70% crude oil and 30% refined products. Uncertainties remain regarding the pace at which these stocks will be released, but our assumption is at a rate of 2.5 million barrels per day. Added to these volumes are a further 100 million barrels of oil mobilised by other OECD member countries (Japan and South Korea). At the same time, the United States has temporarily eased certain sanctions on Russia's seaborne shipments (which may now be traded until the end of June) and Iranian shipments already in transit (thus allowing access to floating stocks). Finally, increased production in other oil-producing countries (the United States, Canada, Argentina, etc.) is also helping to ease global supply pressures.

Thus, the estimate of the net quantity of oil lost to the market takes into account the capacity to bypass the strait as well as the support measures implemented (*chart 1*).

1 The East-West pipeline from Saudi Arabia to the port of Yanbu on the Red Sea, the Habshan-Fujairah pipeline from the United Arab Emirates to the Gulf of Oman, and the Kirkuk pipeline used by Iraq to the port of Ceyhan in Türkiye.

Is the surge in US exports sustainable?

Other external factors are helping to limit, at least temporarily, the effects of the current market disruptions and to contain price rises to a certain extent.

i/ Firstly, market disruptions and rising prices are reducing global oil demand. According to the latest IEA report, it could contract by 2.4 mb/d during Q2 2026 and decrease by a total of 0.42 mb/d over the year 2026 compared to 2025, reaching 104 mb/d.

ii/ Secondly, the United States has significantly increased its exports of crude oil and refined products. These exports reached an all-time high of 14.2 mb/d during the week of April 24th, compared with an average of 10.7 mb/d in 2025, according to the US Energy Information Administration (EIA). However, the sustainability of this US effort is raising questions. Maintaining a high level of exports implies increased drawdowns on domestic stocks (*chart 2*), which are falling at a very high rate (an all-time high during the week of May 8th). This is unsustainable in the short term, and could fuel market concern.

Furthermore, according to the US EIA, the retail price of gasoline in the United States now exceeds USD 4.50 per gallon. However, this trend is economically costly, particularly as a seasonal rise in fuel consumption begins. Furthermore, it could also be costly from a political perspective as November mid-term elections approach, at a time when US households' purchasing power is already weakened by persistently high inflation. It is therefore uncertain whether the US will continue this policy of sharply increasing exports for more than a few weeks, particularly for refined products.

iii/ Finally, the decline in Chinese imports of oil is limiting upward pressure on global prices, without, however, drastically reducing China's commercial stocks and strategic reserves (estimated at 1.4 billion barrels). According to some estimates, China has reduced its crude oil imports by an average of 3.6 million barrels per day (they are now reportedly at 8.1 mb/d compared with 11.7 mb/d before the war). This is notably the result of a decline in activity in the petrochemical and refining sectors in April (year-on-year). This contraction is likely to be temporary.

Markets are taking stock of the shock

Markets now seem to be taking the full extent of the current supply shortfall more clearly: nearly a billion barrels are estimated to be missing since the closure of the strait. This is particularly reflected in the narrowing of the spread between the price of a barrel of 'physical' oil (dated Brent, the nearest physical delivery) and the Brent futures price on international markets (now less than USD5 per barrel). Furthermore, Brent futures prices (maturing in December 2026) are trending upwards and remain close to USD92 per barrel, having reached their highest level on 4 May (*chart 3*).

Temporary solutions are running out of steam, raising market concerns

Tensions in the global oil market will continue to rise to the point that the gap between supply and demand becomes too wide for temporary solutions to be sufficient to mitigate it. For the United States, the drawdown of strategic reserves (Strategic Petroleum Reserve) and commercial reserves held by private companies could heighten concerns from the end of Q2 onwards.

The European Union, for its part, could face an abrupt market adjustment for refined products in June (through supply disruptions). Around half of the barrels to be delivered via the oil stocks released by the IEA to supply the market remain available. Yet the seasonal rise in consumption of petroleum products during the summer in the northern hemisphere risks rapidly depleting them. Therefore, the possibility of bringing an additional volume of oil to the market could be evoked, but it would be at the risk of reducing stocks to an alarming low level (which is difficult to estimate at this stage) and could push the market even further towards extreme pricing.

Pascal Devaux, with the help of Clara Ngo Ba Do (intern)
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The massive US stock release will be difficult to maintain in the short run

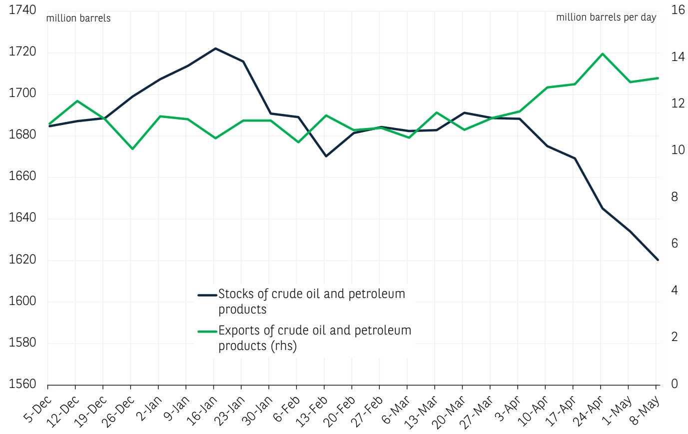

CHART 2 SOURCE: EIA, BNP PARIBAS

The energy shock is better priced by the market

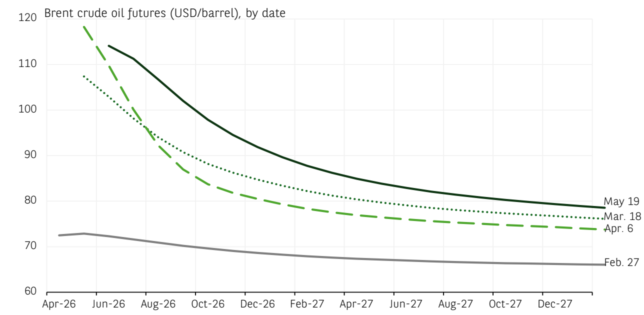

CHART 3 SOURCE: BLOOMBERG, BNP PARIBAS

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ECOCHARTS

MAY 2026

Energy shock: Dashboard 2026 vs. 2022

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The bank for a changing world

Energy shock: Dashboard 2026 vs. 2022

Will the same causes produce the same effects? In other words, will the war in Iran and the resulting surge in oil and gas prices lead to an inflationary shock comparable to that seen in 2022? Will their negative effects on growth be the same as those for the war in Ukraine and the subsequent energy shock? Although there are similarities, there are many uncertainties.

The ongoing energy-led inflation rise should be less strong, as demand is less dynamic and supply is less constrained today compared with the situation in 2022. Conditions do not appear to be conducive to a significant propagation of the rise in energy prices. However this will need to be closely monitored as transmission lags matter, and the return to normal oil production flows will take time while the strait of Hormuz remains blocked.

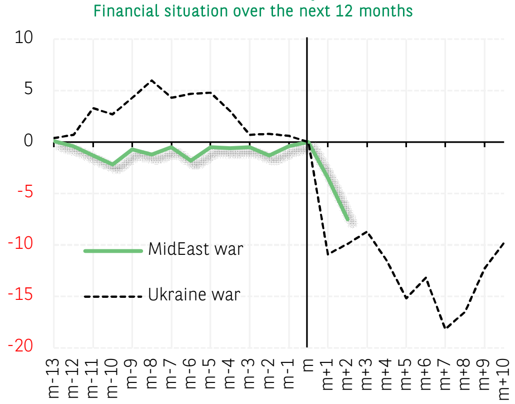
In addition, central banks have learned from the inflationary shock of 2021–2023. They are ready to react more quickly to counter any spillovers, second-round effects and spiral between price increases, inflation expectations and wages. Such second-round effects are not yet visible in the data, but central banks are on alert of any warning signs.

We have selected a set of indicators to track the impact of this new energy shock — caused by the war in the Middle East — on activity and prices in the Eurozone, the United States, oil and gas markets and emerging countries, and to see how much the current situation resembles that of 2022 at the outbreak of the conflict in Ukraine.

This dashboard featuring charts and comments will be updated on a monthly basis for as long as necessary.

Eurozone/US: Household confidence falters under the impact of rising energy prices

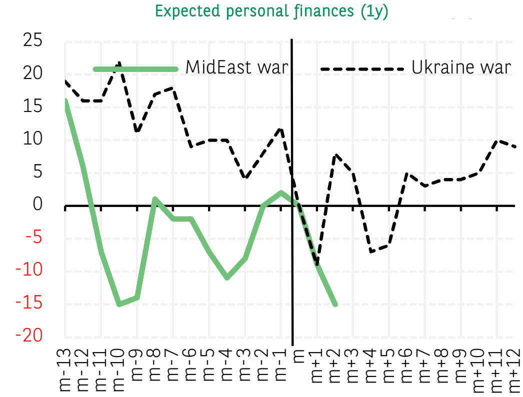
Eurozone consumer confidence:
Financial situation over the next 12 months



Change since m = 0 = February 2026 / February 2022

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

US consumer sentiment:
Expected personal finances (1y)



Change since m = 0 = February 2026 / February 2022

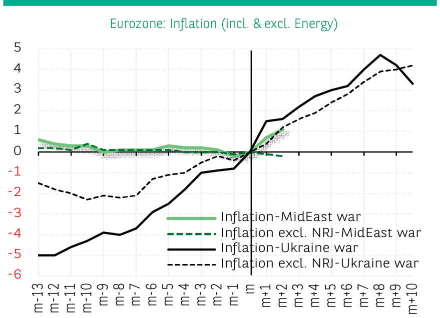
Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas

Eurozone: The inflation rise remains energy-driven, but pressures are mounting and consumer and services sector confidence is deteriorating sharply

We have selected two inflation measures (with and without energy) and six survey indicators: business confidence, as measured by the PMIs in the manufacturing and services sectors; the “input prices” and “output prices" components of the composite PMI (in order to identify direct inflationary pressures); the “suppliers’ delivery times” component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of inflationary pressures in the making); household confidence, as reflected in its “assessment of financial situation in the next 12 months” component (in order to capture the impact of inflation on purchasing power). The trends in each of these indicators are observed relative to month m=0, corresponding to the start of the conflict, more or less during the year that follows and the year that precedes the event. Each line does not represent the level of the indicator but its cumulative variation compared to month m=0.

The assessment of the available data for April is more negative than in March. Inflation rose by 1.1 percentage points in two months, an increase that is however still solely driven by the "energy" component. Excluding energy as well as excluding “energy and food," inflation recorded a new slight decline in April. However inflationary pressures are mounting, through rising input prices and — new development in April — the beginning of an increase in output prices according to PMIs surveys. The lengthening of delivery times is not a good sign either. The good news, coming from confidence surveys, is the further improvement in the business climate in the manufacturing sector (driven by stockpiling in anticipation of price increases). But it is weakened by the new sharp deterioration of the business climate in services and by the further decline in consumer confidence.

April 2026: The inflation rise remains energy-led



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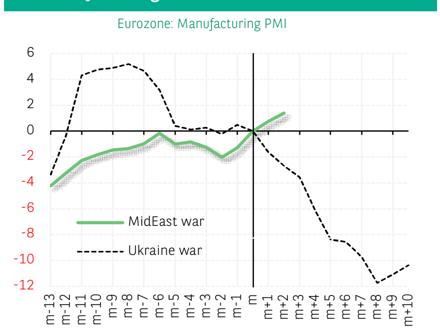
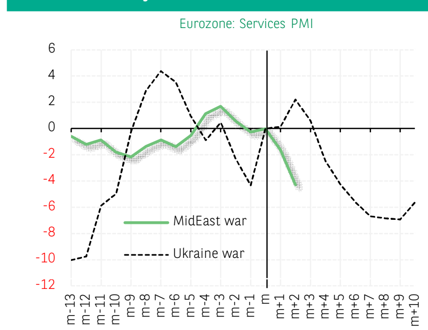
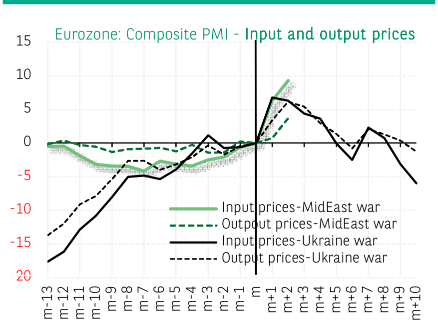


April 2026: Business confidence in services further deteriorates



April 2026: Sharp rise in input prices and increase in output prices



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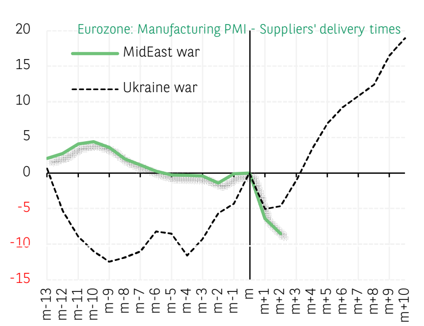

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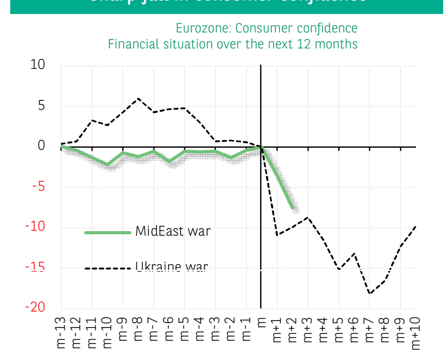

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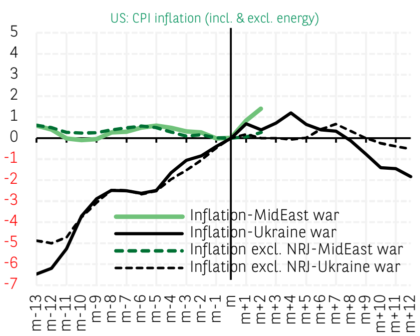

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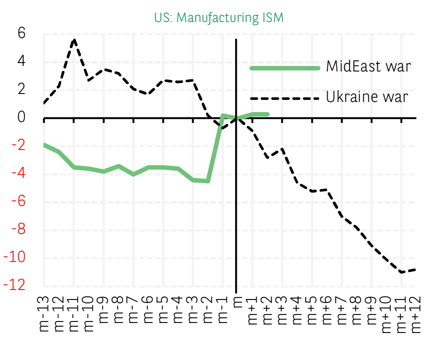

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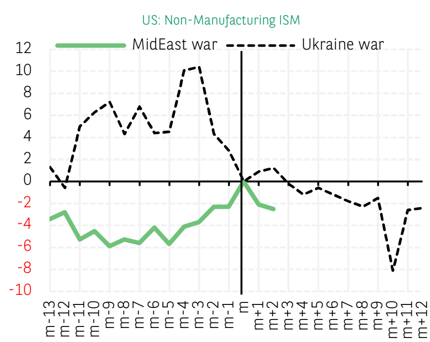
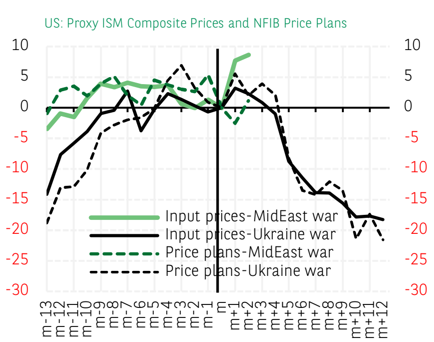
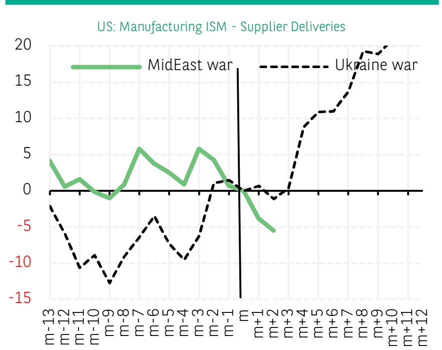


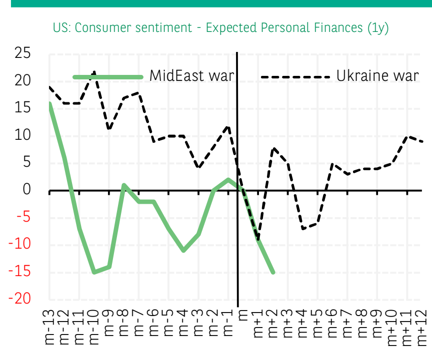
April 2026: Sharp rise in input prices, moderate rise in price plans



April 2026: Longer delivery times



May 2026: Growing concerns among households



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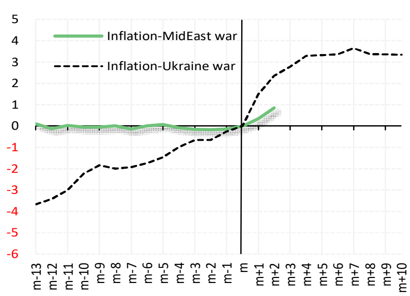
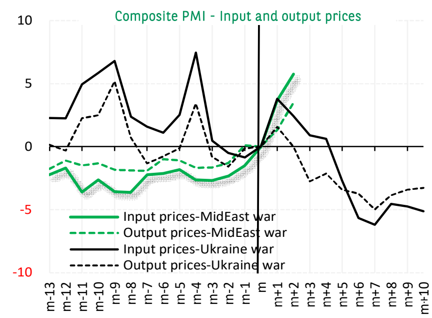
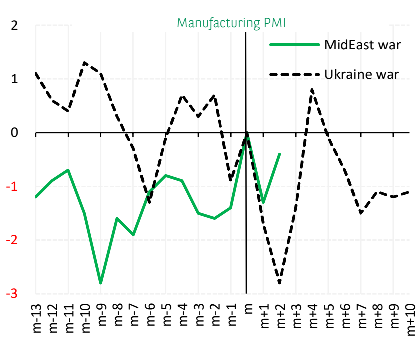
A much less severe CPI inflation rebound ...



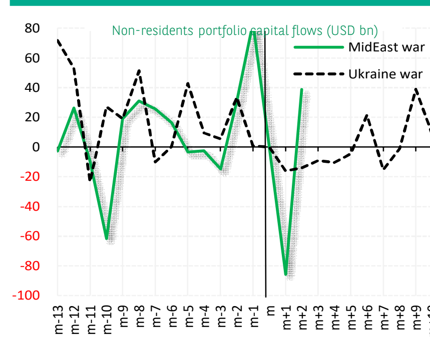
April 2026: ... but a stronger acceleration in input and output producer prices



April 2026 : Better business confidence after the March shock



April 2026 :
A marked rebound in portfolio investments



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Source: National Statistical Offices, IIF, S&P Global, BNP Paribas

Oil & gas: The sharp rise in U.S. exports is providing temporary relief to the oil market, but prices remain very high

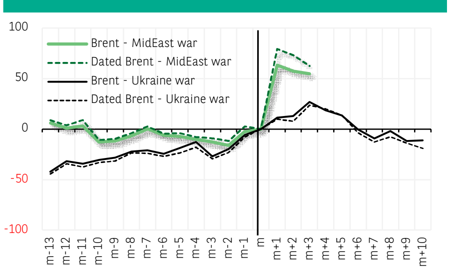
For now, European oil and gas prices appear to be reacting more strongly to the energy shock caused by the war in the Middle East than they did to the shock that followed Russia's invasion of Ukraine.

Oil: The growing loss of barrels available on the market due to the closure of the Strait of Hormuz, repeated attacks on production capacity in the Gulf, and restrictions on traffic through the Strait increase the risk of a physical oil shortage in the short term. This has led to a sharp reaction in the prices of physical barrels (dated Brent). In recent weeks, better pricing of this risk of shortage has caused the prices of futures (Brent) to converge with that of the physical barrel (dated Brent). Furthermore, the sharp rise in oil exports from the United States and, to a lesser extent, the decline in Chinese imports have eased tensions in the physical market and pushed prices lower.

Gas: The reaction of the spot gas price in Europe (TTF) has been more moderate than that of oil. This is due in particular to 1) European countries' limited direct dependence on gas from the Gulf, 2) the reduction in European demand as winter ends, and 3) the decline in Asian demand. Nevertheless, TTF prices remain high and have trended upward over the past month due to the ongoing blockade of the Strait and the start of the restocking period in Europe.

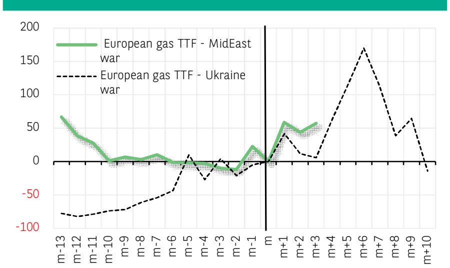
Electricity: Unlike 2022, wholesale electricity prices in Europe have been falling since the start of the conflict. Gas prices remain an important determinant of wholesale electricity prices, but progress in decarbonation of the electricity mix since 2022 and favorable weather conditions explain this recent development.

May 2026: Narrowing spread between the physical barrel price and futures price



Note: change % since 02/27/2026 - 02/23/2022; last price 05/18/2026

May 2026: Rebound in LNG prices in Europe



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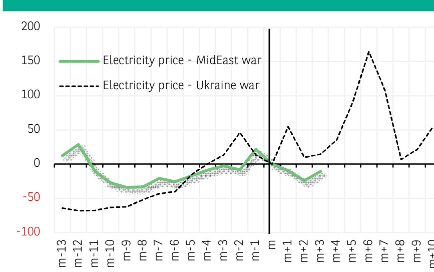
May 2026: Wholesale electricity prices in Europe have not reacted yet



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Source: Bloomberg, Ember, BNP Paribas

ECONOMIC RESEARCH

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ECONOMIC RESEARCH

Eurozone: The inflation rise remains energy-driven, but pressures are mounting and consumer and services sector confidence is deteriorating sharply

We have selected two inflation measures (with and without energy) and six survey indicators: business confidence, as measured by the PMIs in the manufacturing and services sectors; the "input prices" and "output prices" components of the composite PMI (in order to identify direct inflationary pressures); the "suppliers' delivery times" component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of inflationary pressures in the making); household confidence, as reflected in its "assessment of financial situation in the next 12 months" component (in order to capture the impact of inflation on purchasing power). The trends in each of these indicators are observed relative to month m=0, corresponding to the start of the conflict, more or less during the year that follows and the year that precedes the event. Each line does not represent the level of the indicator but its cumulative variation compared to month m=0.

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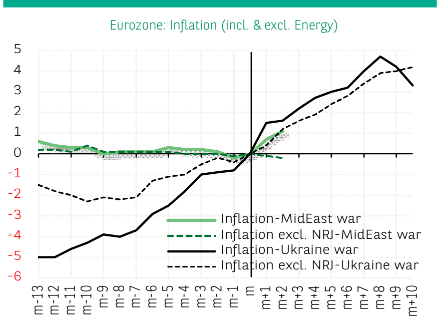

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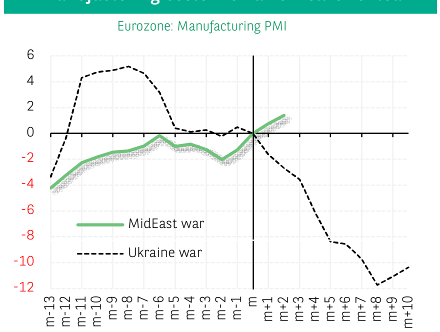

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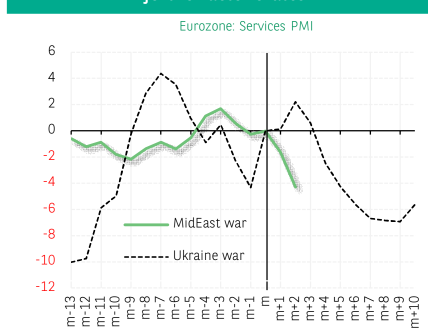

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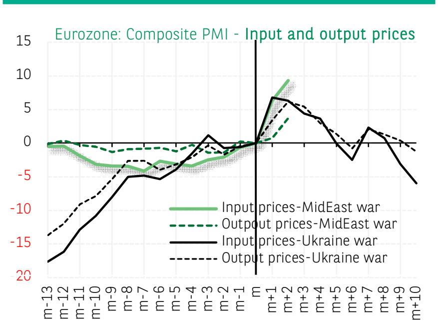

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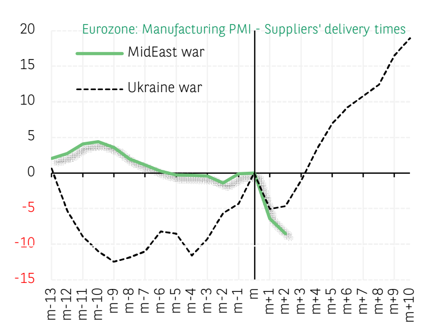

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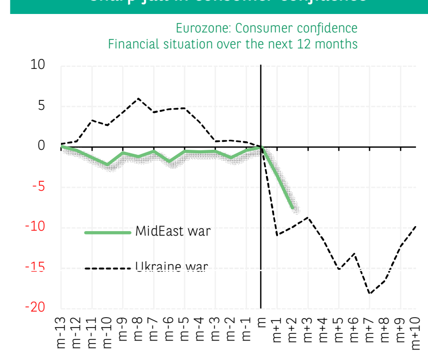

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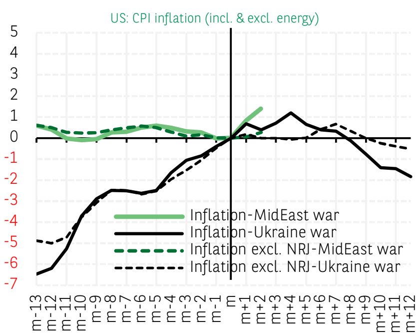

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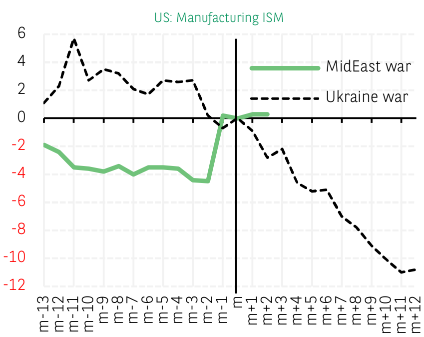

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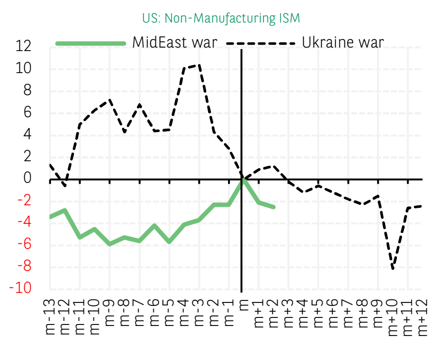

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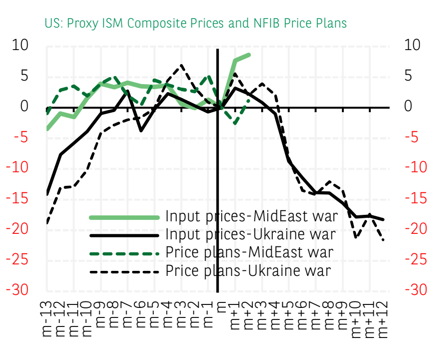

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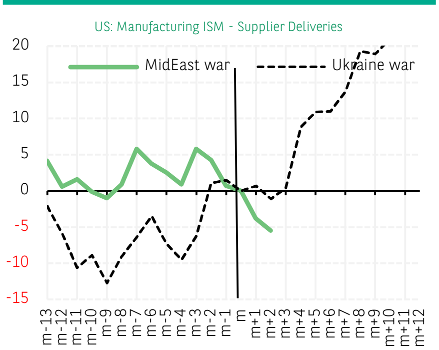

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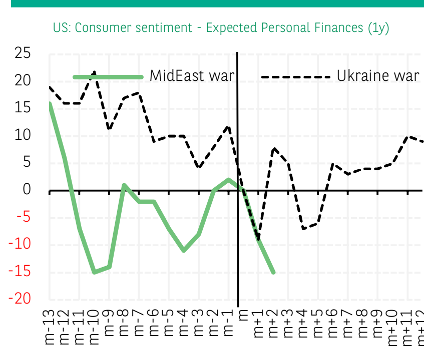

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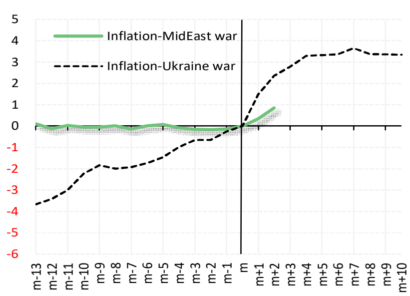

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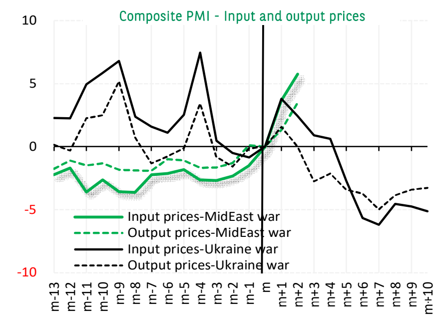
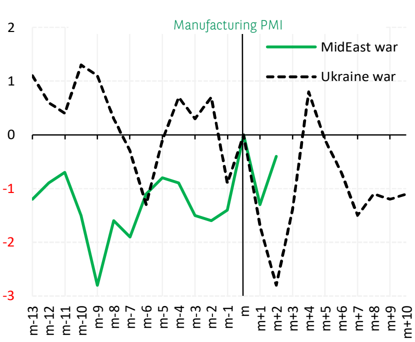
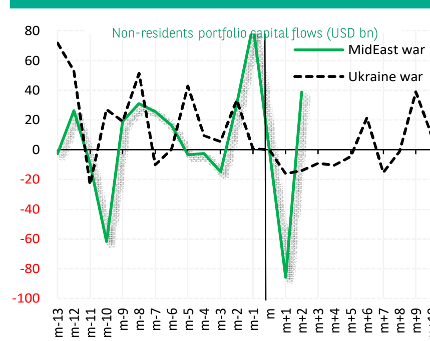


April 2026 : Better business confidence after the March shock



April 2026 :
A marked rebound in portfolio investments



Change since m = 0 = February 2026 / February 2022

Source: National Statistical Offices, IIF, S&P Global, BNP Paribas

UP AGAINST CHINA'S INDUSTRIAL SURGE, EUROPE HAS STRENGTHS BUT IS SEEKING A STRATEGY

China's rise is undermining major sectors of European industry. However, as the German economy illustrates most clearly, Europe is shifting, driven by investment cycles in defence, electrification and artificial intelligence. It is redirecting its exports and managing to maintain strong positions, particularly in high value-added services, where exports to China are trending upwards. Yet this repositioning remains fragile and could be hampered by the economic costs of the conflict in the Middle East. To consolidate its positions, Europe must accelerate the unification of its internal market and do more to strengthen its industrial policy. This is the aim of the 'One Europe, One Market' agenda.

GERMANY IS ONCE AGAIN BECOMING A DRIVING FORCE

The German economy is gradually moving away from its traditional model. Historically reliant on the automotive and chemical industries – two sectors facing particularly fierce competition from China – it is now shifting its focus towards defence, aerospace, and electronic and electrical equipment. This is confirmed by the figures for new industrial orders (*see Chart 1*). Now the second-largest contributor to NATO's budget, Germany is thereby embarking on a historic shift that is already bearing fruit.

In addition, by significantly increasing its defence spending – and despite sourcing some of its supplies from outside Europe – Germany will provide additional opportunities for the European industrial base. However, this effort is not an isolated one within the European Union (see our analysis), as, in 2025, Denmark, Sweden, the Netherlands and Spain collectively committed to a greater increase in their defence budgets than Germany's additional expenditure. The EUR 150 billion SAFE[1] fund, intended to finance the European rearmament effort, will generate an additional increase in demand that will benefit European defence manufacturers, particularly in EU countries that are

1 Security Action for Europe.

German industry is benefiting from current investment cycles

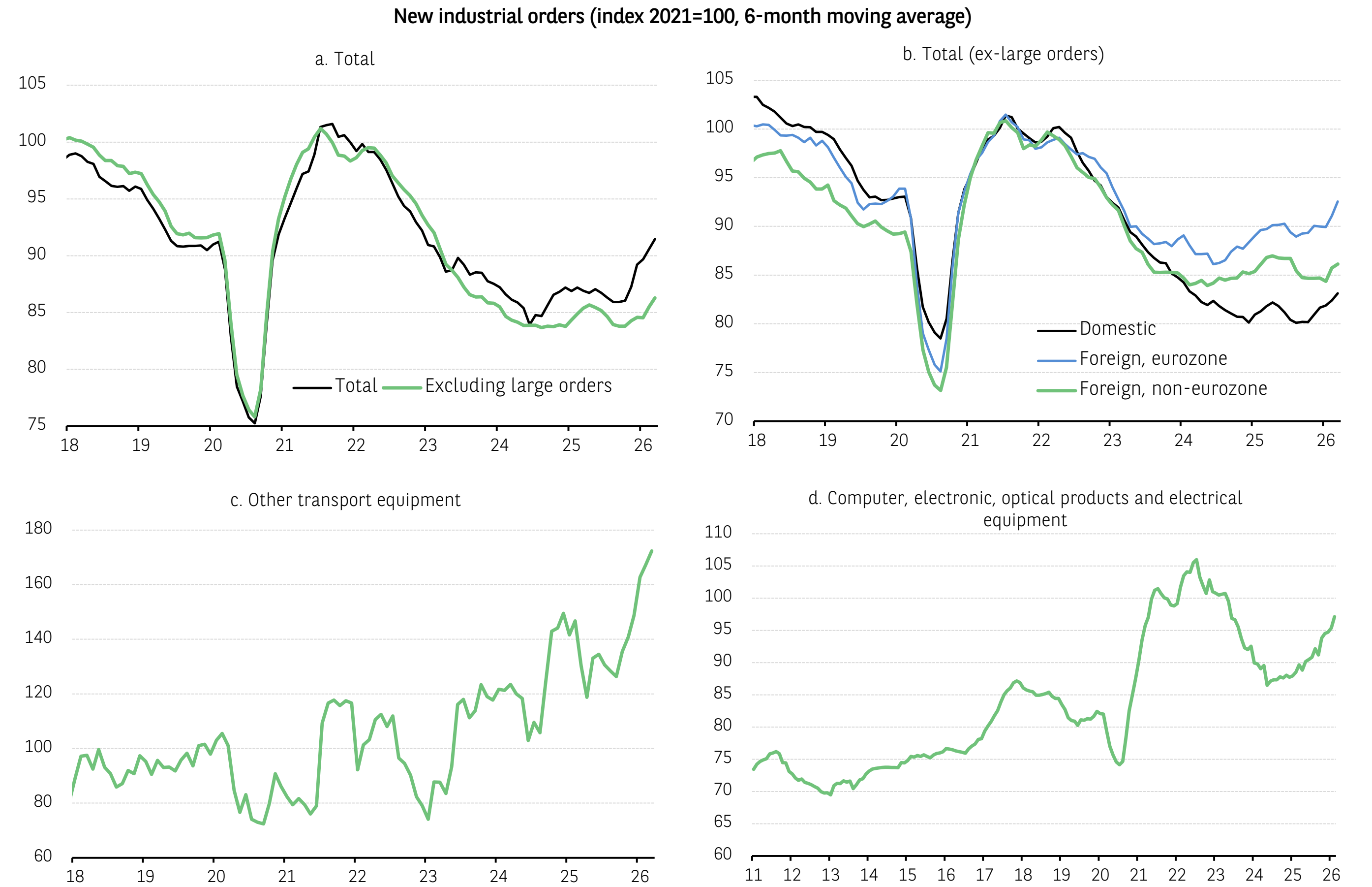


CHART 1

SOURCE: DESTATIS, BNP PARIBAS

accelerating their military build-up, especially in Eastern Europe (most notably, Poland and Romania). This will encourage the development of new technological niches in which China is not yet able to compete, even though Beijing is investing heavily in the defence sector.

German Mittelstand companies are capitalising on defence, electrification and AI investment cycles through inputs into sectors such as electronics and IT, and electrical equipment (*see Charts 1c and 1d*). This is underlined by the sustained rise in new orders for communications equipment (+30% since January 2025[2]), electronic parts (+11%) and precision optical instruments (+30%). These two sectors account for 15% of German industrial production[3] (ahead of machine tools and the automotive sector, at 12% each). Orders for 'other transport equipment' (accounting for 5.8%) – driven mainly by the aerospace sector – are also seeing an unprecedented rise in volumes. This rebounding demand is still hampered by production constraints. However, it points to a recovery in industrial activity.

There are still significant short-term risks, as the energy crisis caused by the conflict in the Middle East could hit the German automotive and chemicals sectors even harder. Despite this, German growth is expected to strengthen to 0.8% in 2026, and then 1.1% in 2027. By diversifying its industrial base, Germany is building up a capacity for recovery that should not be underestimated.

HOW SHOULD EUROPE POSITION ITSELF AGAINST CHINA?

The balance of power remains structurally unfavourable. The EU's trade deficit with China widened further in 2025 (EUR 360 billion). The balance has swung into the red for the automotive sector, which is a turning point. In addition, Europe's dependence on Chinese imports shows no sign of abating. China's share of total EU imports even increased in 2025. The country remains essential for Europe's supply of critical materials and vital equipment for the green transition (see our analysis).

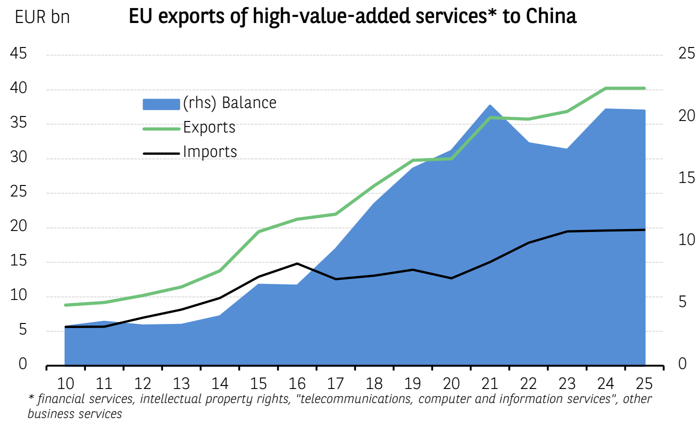
Nevertheless, Europe retains competitive advantages in the aerospace and pharmaceutical sector[4] and a range of cutting-edge industrial equipment on which China's energy transition and industrial development still depend, most notably semiconductors[5].

Furthermore, in the services sector, the balance of power still favours Europe. In recent years, Europe had been recording a growing surplus in high value-added services – intellectual property, IT/telecommunications services and finance (*see Chart 2*). That said, these service exports stagnated in 2025. This decline is partly due to unfavourable exchange rate effects, as the depreciation of the renminbi, by around 8% against the euro in 2025, has eroded the competitiveness of European exporters across all markets (goods, services and third markets).

However, China's 15th Five-Year Plan targets these sectors (see our analysis) and China's efforts in research and development continue to grow. According to the OECD, in 2024, R&D expenditures exceeded America's in terms of volume[6] to reach 2.7% of GDP (*see Chart 3*), compared with 2.1% for the EU-27 (Germany spent more on R&D, at 3.1% of GDP).

Furthermore, US protectionism has redirected some Chinese exports towards Europe, exacerbating the pressure on sectors that have already been weakened by Chinese overcapacity.

In the services sector, the EU benefits from China's transformation



* financial services, intellectual property rights, "telecommunications, computer and information services", other business services

CHART 2 — SOURCE: EUROSTAT, BNP PARIBAS

China's technological rise continues

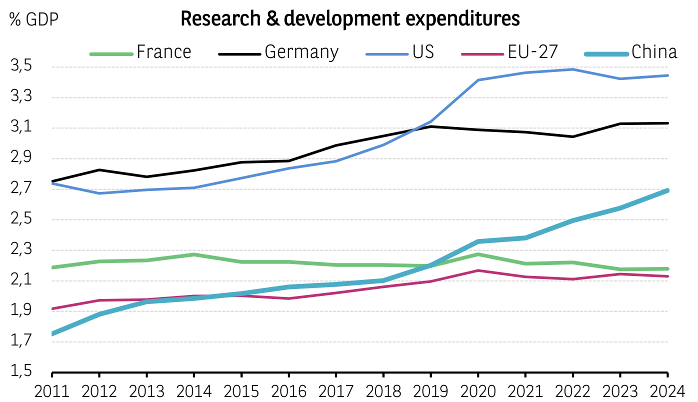


CHART 3 — SOURCE: OECD

This nevertheless provides Europe with leverage in negotiations, as it is a key export market for Beijing's high value-added products, as well as a location for its companies to set up operations. In addition, enhanced partnerships between Chinese and European car manufacturers on European soil reflects a certain pragmatism. This is because Europe has unused production capacity, and China wants to establish a presence in Europe to better secure its third-party markets.

2 Data averaged over twelve months.

3 Weight in the industrial production index (2021 structure).

4 According to our calculations, the EU's market shares in the aerospace and pharmaceutical sectors stood at 33% and 62%, respectively, compared with less than 3% for China (source: UN Comtrade).

5 For further details, see *Relearning the Language of Power: Geopolitical coalitions and pooled geoeconomic deterrence as Europe's plan B for a post-WTO world*, Geostrategic Europe Taskforce, February 2026.

6 According to the latest OECD data (March 2026), China spent USD 859.3 billion on research and development in 2024, compared with USD 847.9 billion for the United States in purchasing power parity terms.

While a recalibration of competition rules is needed in relation to China, the challenge for Europe is not to engage in a tariff war that would backfire on its own exporters and drive up the cost of its imports of critical inputs. The challenge is to accelerate the transformation of its industrial base. For this purpose, Europe can rely on new growth hubs, as Spain, Portugal and some Central European economies are currently benefiting from lower production costs. It can draw on a lower-carbon electricity mix (renewables and nuclear accounted for 71% of electricity generation in 2025). The challenge now is to harness these assets in a coherent and structured manner.

The diverging interests among Member States is a structural obstacle, but the current economic and security climate allows for significant progress. As a result, a structured response from Brussels is beginning to take shape, centred on two complementary pillars: protection and diversification. The latest development is the provisional agreement on the Critical Medicine Act, reached on 12 May, that is intended to help to reduce Europe's dependence on Asian suppliers for a list of essential medicines. Rules on supply diversification could soon be extended to sectors most exposed to Chinese overcapacity[7]. Another step forward, though still under negotiation, is the Industrial Accelerator Act, which would open access to Chinese FDI, under stricter conditions, to sectors where upscaling in Europe is needed. This would be a realistic and mutually beneficial option for the EU and China. On the other hand, safeguard measures in strategic industrial sectors where Chinese overcapacity is at its largest (chemicals, automotive and steel) justify explicit and coordinated public European support.

With this in mind, the recommendations of the Draghi and Letta reports aiming to strengthen the European internal market remain more relevant than ever. The economies of scale enabled by a strengthened internal market and European harmonisation policies are key components of the 'One Europe, One Market' roadmap drawn up by the European Commission and endorsed by the Member States following the European Council meeting on 18 April (see table in our latest Eco-Perspectives).

EU EXPORTS ARE BEING REORIENTED

These advances, albeit very gradual, together with the strengthening of the investment cycle in Europe, are laying the foundations for a rise in intra-EU trade. Intra-EU trade began to recover in 2025 (+0.4% in volume) after several years of contraction. The rise in German industrial orders from the Eurozone sends a positive signal for 2026 (*see Chart 1b). At the* same time, the EU-27 are finding new markets by regionalising part of their trade, through increased exports to the EFTA (+2.0% in volume in 2025) and the EU's immediate periphery (see our analysis). Exports to the United States also held up well in 2025 (+0.6%). Furthermore, the EU has responded to trade tensions by stepping up trade negotiations (with Mercosur, India, Malaysia and Australia) and strengthening strategic partnerships on access to critical minerals (Chile, Australia and Canada).

***

By capitalising on ongoing structural cycles – defence, artificial intelligence and energy transition – Europe is cushioning part of the 'Chinese shock', whilst remaining heavily dependent on industrial inputs from China. Europe's resilience strategy will be based on three complementary pillars: shifting industrial focus towards the most promising sectors, strengthening the internal market and harmonising policies, and securing supply chains. Up against China's rise, time seems to be working against Europe, but the EU's room for manoeuvre is not as limited as it appears.

Guillaume Derrien
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7 See Financial Times, EU plans to force companies to buy parts from non-Chinese suppliers, 18 May 2026.

Find out more in our scenario and forecasts

ADVANCED ECONOMIES

CHINA / UNITED STATES

Good understanding, but little concrete progress. Following their meeting, President Xi Jinping described it as a "historic and significant" visit aimed at fostering a "constructive, strategic and stable relationship", while Donald Trump spoke of "a great deal of positivity" and "fantastic trade deals" (although only a promise to purchase 200 Boeing aircraft has been mentioned so far). China is calling for the reopening of the Strait of Hormuz, while Mr Trump mentioned a share understanding regarding the necessity of preventing Iran from acquiring nuclear weapons. China has also issued a clear warning on the subject of Taiwan. A visit by Xi Jinping to the United States could take place in September.

UNITED STATES

CPI inflation is accelerating, at +3.8% y/y in April (2.4% y/y in February) – a high not seen since May 2023 – primarily driven by fuel prices (+28.4% y/y). Core inflation reached +2.7% y/y (+2.5% in February), driven by services (+0.5% m/m, +0.3pp), particularly in transport. The rise in producer prices (+6.0% y/y, +1.7pp – the highest since late 2022) – is also reflected in the core figure (+4.4% y/y, +0.7pp), due to transport services. In April, retail sales rose again (+0.5% m/m, indicating consistent growth in 2026), driven by their core component (excluding petrol and motor vehicles). Industrial production (+0.7% m/m) was buoyed by aerospace, IT and a rebound in the automotive sector. During his Senate confirmation hearing, K. Warsh, confirmed by the narrowest majority since 1977 (54-45), expressed his desire for the Fed to stop publishing its policy rate forecasts (dot plots) and indicated that he would hold fewer press conferences than his predecessor. *Coming up: the FOMC minutes (Wednesday).*

EUROPEAN UNION

Measures relating to supply chains. The Critical Medicines Act aims to boost production capacity in Europe, diversify supply chains and strengthen coordination between Member States for joint procurement. A draft directive seeks to broaden supply sources (chemicals, industrial machinery), by capping the share of purchases from any single supplier at between 30 and 40 per cent.

EUROZONE

Confirmation of the slowdown in GDP growth in Q1, to 0.1% q/q (0.2% q/q in Q4), linked to a pullback in Ireland, where growth is highly volatile. Employment rose by 0.1% q/q in Q1. Industrial production grew by 0.2% m/m in March, bolstered by aerospace, IT and electronics. *Coming up: foreign trade (Tuesday), PMI and consumer confidence, Q1 labour costs (Thursday).*

France: Exports and wages holding up well; unemployment rebounding. Output growth is thought to have slowed in April according to the Banque de France (BdF), but aerospace deliveries rebounded (+20% y/y in April, after -17% y/y in Q1). Consequently, GDP growth is expected to reach 0.2% q/q in Q2, according to our nowcast. The unemployment rate rose to 8.1% in Q1 2026 (+0.2pp q/q), weighed down by a decrease in salaried employment (-0.1% q/q in Q1 in the private sector) and a decline in new apprenticeship contracts (-2.8% y/y in January-February). Hourly wages rose by 1.9% y/y in Q1 (compared with +1.7% in Q4), exceeding inflation (1.2% y/y in Q1). This trend is set to reverse in Q2 (we forecast +2.1% and +2.9% respectively), despite a 2.4% increase in the minimum wage on 1st June. Business insolvencies reached nearly 70,000 over the 12 months to the end of March, according to the Banque de France. In Q1, they rose by 8% y/y. This trend is comparable to that of business start-ups in Q1 (+14% y/y, of which +9% for companies), although the latter slowed in April. In Q1, the economic impact of insolvencies increased slightly, accounting for 0.54% of bank loans (0.52% at the end of December). Furthermore, 68 large firms and mid-sized companies went into insolvency over the past 12 months (59 a year earlier). *Coming up: PMI (Thursday), INSEE business climate survey (Friday).*

Germany: Economic expectations have stopped deteriorating, according to the ZEW. There was an improvement in May (+7 points m/m to -10.2), while the index for the current situation fell (-4.1 points to -77.8; mid-2025 level). The rise in wholesale prices (+6.3% y/y in April compared with +4.3% in March) is primarily driven by petroleum products (+37.3%) and ores, metals and non-ferrous metal products (+40.2%). *Coming up: producer prices (Wednesday), PMI (Thursday), GfK consumer confidence, Ifo business climate and Q1 GDP (Friday).*

Italy: Industrial production rose in March, up 1.5% year-on-year (0.7% month-on-month), following a 0.4% year-on-year increase in February, driven by capital goods. *Coming up: foreign trade (Monday).*

JAPAN

Long-term interest rates have risen amid concerns over the budget deficit and inflation. Prime Minister S. Takaichi has called for a supplementary budget to be drawn up to tackle rising prices; this could be financed through new debt issuance. Long-term rates have risen, particularly the 10-year rate (2.74% on 18 May; up 23bp in a week), against a backdrop of producer price inflation reaching its highest level since 2014 in April (+4.9% y/y). The war in Iran has delayed the key interest rate hike, as highlighted in the 'Summary of Opinions' from the BoJ's April meeting. However, a hike could occur "as early as the next meeting", "even if the situation in the Middle East remains unclear". Household consumption expenditure contracted by 2.9% y/y in March. *Coming up: Q1 GDP (Tuesday: BNPP forecast at +0.5% q/q), PMI (Thursday), CPI inflation (Friday).*

UNITED KINGDOM

Strong GDP growth in Q1, but a rise in long-term rates. Growth reached 0.6% q/q in Q1 (+0.2% q/q in Q4 2025), driven by private and public consumption. Industrial production rose by 0.8% q/q in Q1. In March, the trade deficit hit a record high of GBP 27.2bn (driven by increased imports of fuel, machinery and transport equipment). Keir Starmer's position as leader of the government remains uncertain, despite his refusal to resign: long-term rates are approaching record levels, at 5.15% for the 10-year and 5.81% for the 30-year on Monday 18 May. The legislative agenda set out in the King's Speech (including strengthening ties with Europe, reforming the National Health Service, and establishing a law on energy independence) remains on hold. *Coming up: unemployment and wages (Tuesday), inflation (Wednesday), PMI (Thursday), GfK consumer confidence, retail sales (Friday).*

EMERGING ECONOMIES

AFRICA & MIDDLE EAST

Saudi Arabia: The rise in prices remain moderate. In April, inflation slowed slightly to 1.7% y/y (compared with 1.8% in March). The rise in food prices remained modest (+0.6% year-on-year), as was the increase in transport costs (+1%).

South Africa: The markets showed minimal reaction following the reopening of impeachment proceedings against President Ramaphosa. Last week, the South African rand remained stable against the US dollar, while the average yield on 10-year government bonds rose by just 11bp. An inquiry committee is set to determine whether to recommend the President's impeachment. If so, the impeachment motion will need to be ap-

Find out more in our scenario and forecasts

proved by a two-thirds majority in Parliament, where the ANC (President Ramaphosa's party) holds 40% of the seats.

ASIA

China: Slowdown in April. Following a stronger-than-expected first quarter, economic activity fell short of expectations in April. Industrial production growth slowed to +4.1% y/y in real terms (down from +5.7% in March), while growth in the services sector slowed to +4.3% (+5% in March). On the demand side, goods exports remained robust, but investment and private consumption saw a significant decline. Retail sales posted a slight drop in volume, with car sales particularly affected, mainly due to the reduction in government subsidies for electric vehicle purchases. The contraction continues in construction-related sectors, such as cement and steel, while certain industries also seem to have been affected by the ongoing conflict in the Persian Gulf (oil refineries, chemicals).

India: As external accounts are under pressure, the government is raising taxes and prices. With the regional elections now over, the Prime Minister has announced a sharp rise in import duties on gold and silver (from 6% to 15%) to ease pressure on the external accounts and the rupee (-5.0% against the dollar since the start of the conflict in the Middle East). Furthermore, to lessen the financial burden on state-owned oil companies and to curb demand, petrol and diesel prices have been increased (+3%) – a modest rise compared to the surge in international oil prices, yet one that could lead to further hikes. The acceleration in producer price inflation (+8.3% y/y in April) and the downward pressure on the rupee could prompt the monetary authorities to raise key interest rates. The deterioration in the external accounts reflects the widening trade deficit, which is linked to rising energy prices, but also significant outflows of foreign capital over the past two months.

Indonesia: MSCI has announced the removal of several major Indonesian companies from its indices (which account for 17% of the Indonesian index) as the US firm considers that certain market capitalisations are not sufficiently attractive for institutional investors, given the high concentration of share ownership. MSCI had previously announced in January that it was reviewing the overall status of the Indonesian market, with the possibility of downgrading it from an emerging market to a frontier market. The removal of these major companies from the index has exacerbated downward pressure on the rupiah.

Malaysia: Growth has stalled compared with the previous quarter. In Q1 2026, year-on-year growth remained robust (+5.4%), but real GDP showed no change from the previous quarter. All demand components have slowed, including exports.

Thailand: Robust growth in Q1. Growth exceeded expectations (+2.8% y/y), driven in particular by a rebound in investment (+2.3% y/y). Exports continued to perform well; however, the rise in investment led to a sharp increase in imports, leading to a negative contribution from net exports to overall growth. For 2026 as a whole, the national statistics agency expects growth to range between 1.5% and 2.5%. Thailand has already seen a decline in tourist arrivals due to the conflict in the Middle East and rising energy prices (-3.4% y/y over the first four months of the year).

EMERGING EUROPE

Poland, Romania and Slovakia: Mixed economic performance in Q1. The Polish economy remains the most dynamic in the region (+0.5% q/q; 3.4% y/y). The effects of the war in the Middle East are still barely noticeable, and growth is expected to remain resilient in 2026, bolstered by European funds (Recovery and Resilience Fund: 3.9% of GDP) allocated for this year. In Romania, GDP fell by 0.2% q/q (-1.7% y/y) following a decline of 1.8% q/q (-1.4% y/y) in Q4 2025. The breakdown of the components is not yet known, but all indications point to subdued consumption in Q1 due to high inflation. With a carry-over of -1.3% in Q1 for 2026, a recession is not ruled out. In Slovakia, GDP growth stood at +0.2% q/q (+0.9% y/y), primarily driven by household consumption and external demand, while investment declined.

Romania: Double-digit inflation in April. Inflation reached 10.7% y/y, up from 9.9% y/y in March, attributed to rising prices for food (+7.4% y/y), fuel (+15.7%) and services (+13%).

Türkiye: Official inflation and budget deficit forecasts revised upward. In its latest inflation report, the central bank revised its year-end inflation forecast upward from 16% to 24% for 2026 and from 9% to 15% for 2027. Finance Minister Simsek warned that the budget deficit could reach 4% compared to 2.9% in 2025. Since the start of the conflict in Iran, the CBRT has met the money market's liquidity needs through refinancing operations conducted at the upper end of the range, ensuring that the benchmark interest rate observed in money markets reached 40%, as the main policy rate has been maintained at 37% since January. Governor F. Karahan reaffirmed that "monetary authorities will maintain the restrictive monetary policy stance until price stability is achieved in line with the revised intermediate targets."

LATIN AMERICA

Argentina: Inflation is slowing. The monthly rise in consumer prices slowed significantly in April, to 2.6% from 3.9% in March (and 2.8% in April 2025). This normalisation, following the sharp acceleration in March, was aided by the stability of the peso against the dollar since mid-February. Since the start of the year, the peso has appreciated by 4%. Year-on-year, the inflation rate stands at 32.4%.

Brazil: The increase in prices continues. Inflation stood at 4.4% y/y in April, compared with 4.1% in March. Although it is approaching the upper limit of the central bank's inflation target, the central bank could continue to cut its key interest rate in June, following two 25bp cuts since March.

Colombia: Growth is accelerating slightly, but vulnerabilities remain. In Q1 2026, growth reached 2.2% y/y (+0.1 percentage point compared to Q4 2025). On the demand side, it is once again being strongly driven by consumption, particularly government spending (+7.8%). Gross fixed capital formation rebounded sharply (+3.7%). On the supply side, growth was dragged down by the contraction in the mining and construction sectors. Growth is expected to slow in Q2, held back by monetary tightening and the erosion of fiscal margins.

Peru: The central bank has kept its key interest rate at 4.25% for the eighth consecutive month. Inflation reached 4% y/y in April, driven by core inflation (4.4%), but the central bank continues to expect inflation to return to 2% during 2027. On the political front, after a particularly close and contested vote count, the second candidate for the second round of the presidential election on 7 June has been confirmed. Keiko Fujimori, who received 17% of the vote in the first round, supports a pro-market stance that is favourable to investors, particularly foreign ones. She will face Roberto Sanchez, who received 12% of the vote, and is advocating for a larger role of the state, particularly in strategic sectors and social policies.

COMMODITIES

OPEC and the IEA (International Energy Agency) have once again revised their forecasts for global oil demand. The IEA now predicts a further reduction in global demand of 0.33 mb/d compared with its April forecast, and a reduction of 1.3 mb/d compared with its pre-conflict forecast, with the annual forecast for 2026 now standing at 104 mb/d. For the first time since the start of the war, OPEC is also revising its global demand forecast downward by 0.2 mb/d, projecting it to reach 106.33 mb/d in 2026. In contrast, OPEC still anticipates a rise in global demand of 1.2 mb/d compared to 2025, while the IEA foresees a decrease of 0.42 mb/d for 2026, including a significant decline in Q2 2026 (-2.45 mb/d compared to Q2 2025).

The United States is maintaining high exports of crude and refined oil (averaging 13.1 mb/d in the week of 8 May, up 20% year-on-year), at the expense of stock levels (both commercial and Strategic Petroleum Reserve), which are under significant strain. These stock levels have returned to those seen in the same period in 2025 (-3.7% since the start of the conflict).

CHART OF THE WEEK

13 May 2026

THE IMPACT OF THE ENERGY CRISIS ON PUBLIC FINANCES IN EMERGING ASIA

Johanna Melka

Rising subsidies should moderately widen fiscal deficits

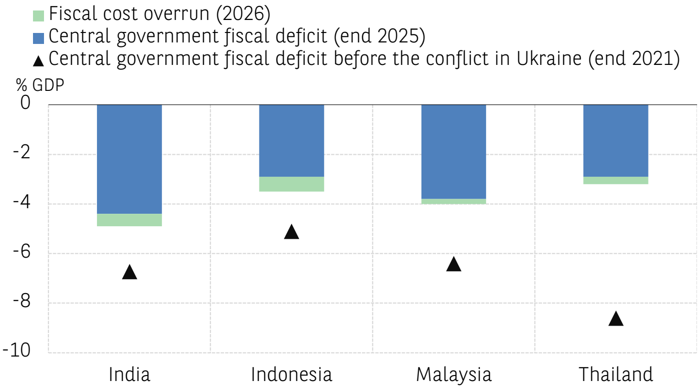

CHART 1 SOURCE: MOF, BNP PARIBAS

Indonesia: more vulnerable to rising US long-term yields

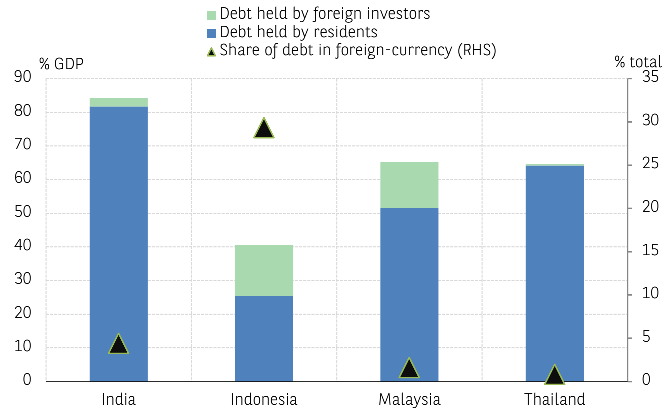

CHART 2 SOURCE: MOF, BNP PARIBAS

Emerging Asian countries are particularly vulnerable to the energy shock caused by the conflict in the Middle East. Beyond supply issues, rising prices pose a significant risk to these countries, where domestic demand is a major driver of economic growth. To limit the impact, some Asian countries (notably India, Indonesia, Malaysia and Thailand) have opted to partially subsidise energy and fertilisers. The additional cost to their public finances is expected to remain manageable provided that the average crude oil price does not exceed USD 100 per barrel over the year. However, this subsidy policy poses risks to their public finances, particularly if external financing conditions tighten. Indonesia is the country most exposed to a rise in US long-term interest rates.

Increased subsidies to contain the cost borne by households

In response to the sharp rise in international energy prices, India and Indonesia (whose growth is mainly driven by domestic demand) have kept pump prices fixed since the start of the conflict in the Middle East. Malaysia has chosen to exclusively keep stable the price of the fuel mainly used by households (RON 95). Meanwhile, Thailand, after leaving its prices unchanged in the early weeks of the conflict, has ultimately decided to target only the most vulnerable households and businesses by providing them with partial direct subsidies. India has also increased its fertiliser subsidies so as not to increase significantly production costs for farmers, at a time when a number of elections were taking place in states where the ruling party historically did not hold a majority.

Such a strategy will undermine the ongoing fiscal consolidation.

What would be the fiscal cost if the price of a barrel of Brent crude averaged USD 92 in 2026?

Asian countries are in a much more comfortable fiscal position than they were on the eve of the energy crisis triggered by the war in Ukraine in early 2022. At that time, they were just emerging from the pandemic and their fiscal deficits had reached unprecedented levels.

The impact on public finances of the increased subsidies introduced since the start of the conflict in the Middle East is expected to remain modest (see Chart 1) as long as the average crude oil price does not exceed USD 100 per barrel over the year. The cost is estimated at between 0.2% of GDP in Malaysia and 0.6% of GDP in Indonesia, assuming that currencies stabilise at current levels, as any further depreciation against the dollar would automatically increase the cost incurred. In India, the resulting cost from increased fertiliser subsidies and the loss of fiscal revenue caused by the reduced excise duties on petroleum products is estimated at 0.5% of GDP. India, like Indonesia, Malaysia and Thailand, has the capacity to absorb this new shock to its public finances. Nevertheless, the increase in subsidies will delay their fiscal consolidation. Indonesia's fiscal deficit could exceed the 3% of GDP threshold set by parliament in 2026 (unless the government reduces significantly other kind of expenditures), which would cause significant concern among foreign investors.

ECONOMIC RESEARCH

BNP PARIBAS

The bank for a changing world

Which countries would be most vulnerable to a rise in US long-term interest rates?

Rising bond yields are another source of risk for these countries. So far, central banks have kept their key policy rates unchanged and the rise in long-term rates has remained contained. However, a significant rise in US bond yields could change the situation. The most exposed country would be Indonesia, whose domestic market is too small to cover the government's financing needs and offset any tightening of financing conditions on international markets.

Since the start of the conflict in the Middle East, ten-year bond yields in emerging Asia have risen less than during the war in Ukraine. The increase ranged from 0 bps in Malaysia to 49 bps in Thailand (compared with an average of +65 bps in 2022). However, this trend could intensify should there be a rise in US long-term rates, which would weigh on these economies via three channels: i) capital outflows ii) downward pressure on currencies and iii) an increase in debt servicing costs. The most exposed countries would be those with the highest interest burdens (India), with short maturities, debt held more widely by foreign residents (Indonesia and Malaysia) and denominated more widely in foreign currencies (Indonesia).

The country whose government is least exposed to these risks is Thailand, as its debt (64.2% of GDP) is almost exclusively denominated in domestic currency and held by residents, whilst its interest burden is low (6% of revenue).

By contrast, although modest (40.5% of GDP), the structure of the Indonesian government's debt is viewed as the most fragile among the countries studied. Over 37% is held by foreign investors and more than 29% is denominated in foreign currency (see Chart 2). Furthermore, interest payments on its debt are already high (17.1% of its fiscal revenue in 2025), and higher than the level recorded in other countries, with the exception of India.

In Malaysia, although a significant proportion of government debt (65.3% of GDP) is also held by foreign investors (21.1% of the total), this debt has long maturities, which reduces its vulnerability to volatility in international financial markets. Furthermore, the domestic capital markets and the local investor base are sufficiently developed to finance the government's needs.

Finally, although the Indian government's debt is the highest (84.3% of GDP), its structure is risk-free, as it is almost exclusively denominated in local currency and held by residents. On the other hand, the interest burden on the debt is already very high (37.1% of its budget revenue), which severely constrains its investment spending. A significant rise in (domestic) interest rates represents the main risk.

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